



Nation Media Group Limited

**2006** annual report  
and financial statements



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Turning Challenges  
into Opportunities

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## Notice of Annual General Meeting

Notice is hereby given that the Forty Fourth Annual General Meeting of the Shareholders of Nation Media Group Limited will be held at the Nation Printing Plant, Mombasa Road, Nairobi on Thursday, 31 May 2007 at 3.00 p.m. for the following purposes:

### ORDINARY BUSINESS

- 1 To receive the financial statements for the year ended 31 December 2006 and the chairman's, directors' and independent auditors' reports thereon.
- 2 To confirm the payment of the interim dividend of 40% and the special dividend of 100% and to approve the payment of a final dividend of 100% on the ordinary share capital in respect of the year ended 31 December 2006.
- 3 To authorise the directors to fix the remuneration of the auditors, PricewaterhouseCoopers.
- 4 To elect and re-elect the following directors:

In accordance with Article 96 of the Company's Articles of Association Mr. L W Gitahi and Mr. W D Kiboro, directors appointed on 14 December 2006, retire and being eligible, offer themselves for election.

### SPECIAL BUSINESS

- 5 To consider and if thought fit, to pass the following resolution as a Special Resolution:  
  
(a) "That Dr. M J Aliker, a director who retires in accordance with Article 101 and who has attained the age of 77 years, shall notwithstanding that fact, be re-elected as a director of the Company for a further period of one year".

By order of the Board  
J C Kinyua  
Secretary

22 March 2007

Note: A member entitled to attend and vote may appoint a proxy to attend and vote on his behalf. Such proxy need not be a member of the Company. To be valid, proxy forms must be deposited at the Company's registered office not less than 48 hours before the appointed time of the meeting.



## Tangazo la Mkutano Mkuu Wa Mwaka

Ilani inatolewa hapa kuwa Mkutano Mkuu wa Arobaini na nne wa kila Mwaka kwa wenyekisa wa kampuni ya Nation Media Group utafanywa katika kiwanda cha uchapishaji cha Nation, kilichoko katika muelekeo wa barabara kuu ya Mombasa, Nairobi, hapo siku ya Alhamisi, Mei 31, 2007, saa 9 alasiri kwa madhumuni yafuatayo:

### SHUGHULI ZA KAWAIDA

- 1 Kupokea taarifa ya hesabu ya mwaka uliomalizika Desemba 31, 2006, pamoja na taarifa za mwenyekiti, wakurugenzi na wakaguzi wa hesabu.
- 2 Kuthibitisha malipo ya mgawo wa muda wa asilimia 40 na mgawo maalum wa asilimia 100 na kuidhinisha malipo ya mgawo wa mwisho wa asilimia 100 kwa hisa ya kawaida kwa kuzingatia mwaka uliomalizika Desemba tarehe 31, 2006.
- 3 Kuwaidhinisha wakurugenzi waamue malipo ya wakaguzi wa fedha, PricewaterhouseCoopers.
- 4 Kuwachagua na kuwapa vyeo tena wakurugenzi wafuatao:

Kulingana na Kifungu cha 96 cha Kanuni za Kampuni, Bwana L W Gitahi na Bwana W D Kiboro, wakurugenzi walioteuliwa tarehe 14 Desemba mwaka wa 2006, wanastaafu na kwa kuwa wanahitimu, wanajitolea kwa uchaguzi.

### SHUGHULI MAALUM

- 5 Kwa kuzingatia na ukiwafikia vyema uamuzi ufuatao kama uamuzi maalum:  
  
(a) "Kwamba Dkt. M J Alier, Mkurugenzi anayestaafu kuambatana na kifungu cha 101 cha kanuni za kampuni na ambaye amefikisha umri wa miaka 77, licha ya maelezo hayo ataweza kuchaguliwa tena kama Mkurugenzi wa kampuni kwa kipindi cha mwaka moja.

Kwa amri ya Halmashauri  
J C Kinyua  
Katibu

Machi 22, 2007

Maelezo: Mwanachama mwenye haki ya kuhudhuria na kupiga kura katika mkutano mkuu, anaweza kumteua mwakilishi wake kuhudhuria mkutano na kupiga kura kwa niaba yake. Mwakilishi huyo si lazima awe mwanachama wa kampuni. Ili kukubaliwa, fomu ya wakala ni lazima iwasilishwe katika afisi iliyosajiliwa ya Kampuni sio chini ya muda wa saa 48 kabla ya saa ya kuanza kwa mkutano iliotangazwa.





**TAIFA JUMAPILI**

**DAILY**  **NATION**

**BUSINESS DAILY**  
MORE YOU CAN GROW WITH

**SATURDAY**  **NATION**

**MWANANCHI**  
TODAY, TOMORROW, TOMORROW

**Daily MONITOR**  
TRUTH EVERY DAY

**TRUE LOVE**  
ALL A WOMAN NEEDS

EASYFM

TAIFA LEO

NATIONMEDIA.COM

*The East African*

SUNDAY  NATION

THE CITIZEN

Mwanao   
Spot

**DRUM**  
The best of Africa

## Annual Highlights 2006

- ♦ **Group annual turnover up by Shs.742.1 million (13%) to Shs.6.3 billion**
- ♦ **Profit before tax increases by 14% to Shs.1.2 billion**
- ♦ **Profit attributable to shareholders increases 9% to Shs.783.2 million**
- ♦ **Total dividend for the year up by 100%**

## Matukio Muhimu ya 2006

*Mapato ya mwaka ya kampuni yaliongezeka kwa shilingi milioni 742.1 (asilimia 13) hadi shilingi bilioni 6.3* ♦

*Faida ya kibiashara kabla ya ushuru iliongezeka kwa asilimia 14 hadi shilingi bilioni 1.2* ♦

*Faida inayostahili wenye hisa iliongezeka kwa asilimia 9 hadi shilingi milioni 783.2* ♦

*Mgawo wa mwaka uliongezeka kwa asilimia 100* ♦



## Corporate Governance

The role of the Board is to determine the group's policy and strategy, to monitor the attainment of business objectives and to ensure that the group meets its obligations to the shareholders. The directors are also responsible for overseeing the group's internal control systems. These controls are designed both to safeguard the group's assets and to ensure the reliability of the financial information used within the business.

Your Board is committed to ensuring that the group adheres to the highest standards of corporate governance and has the following Board Committees:-

1. Nomination Committee, which is responsible for executive and non-executive board appointments. Mr G M Wilkinson chairs the committee which has Mr H H O Awori, Mr L Gitahi, Mr W D Kiboro, Mr A Poonawala and Mr L Huebner as members.
2. Finance and Audit Committee, whose main duties are to ensure that the systems of internal controls are effectively administered; to define the responsibilities of the internal auditors, liaise with the external auditors and to review the financial statements and interim results. Mr D d'Acremont chairs the committee which has Mr A Poonawala and Mr A Mufuruki as members.
3. Strategic Planning Committee, which reviews the group's medium and long term strategic aims and direction. Mr L Huebner chairs the committee which has Mr J Lee, Mr G M Wilkinson, Dr M J Alier, Mr L Gitahi, Mr W D Kiboro and Mr D Aluanga as members.
4. Editorial Committee, which considers and advises on the group's editorial policy, the journalistic code of ethics and legal responsibilities. Mr F Okello chairs the committee which has Mr A Bekah, Mr L Gitahi and Mr D Aluanga as members.
5. Remuneration Committee, is charged with the responsibility of considering human resource policies and recommending non executive directors and senior executives remuneration to the Board. Mr A Mufuruki chairs the committee which has Mr J Lee, Mr F Okello, Mr A Bekah and Mr A Poonawala as members.

There is a clearly defined organisational structure within which individual responsibilities are identified in relation to internal financial and operational controls. The structure is complemented by policies and management operates the business in compliance with these policies.

The Group Chief Executive chairs the Executive Committee which comprises the executive directors and other senior executives of the company. The committee deals with operational matters and co-ordinates activities across the group's various subsidiary companies and divisions.

## Corporate Social Responsibility (CSR)

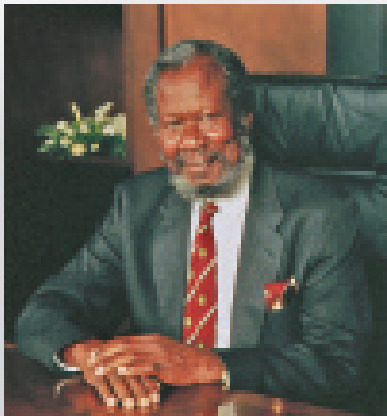
The Groups' CSR activities in the year were forecast on three broad areas namely; the Environment, Education and Health.

The main activities undertaken were the continuation of conservation of the Aberdare Forest, reforestation of Karura forest, awarding of secondary school sponsorship to bright and needy students and supporting the campaign against malaria.

The Group also continues to use all its media channels to rally support for charitable courses on an ongoing basis.



## Chairman's Statement



H. H. Awori  
Chairman

I am delighted to report to you that your Group registered yet another successful year in 2006.

The general macro-economic environment was stable and most sectors of the economy including telecommunication, financial services, tourism and agriculture performed well, resulting in an overall GDP growth of 6%.

### 2006 RESULTS

Turnover grew by 13% to Shs.6.3 billion, whilst profit before tax grew by 14% to Shs.1.2 billion.

The Group's results were boosted by excellent performance at Nation Newspapers and Nation Broadcasting divisions in Kenya as well as a notable contribution from Monitor Publications in Uganda.

However, the gains realized in the divisions mentioned above were partially offset by pre-opening costs of the Group's business development initiatives undertaken in the period namely; a new television station in Uganda – NTV (Uganda) and a daily newspaper in Kenya – The Business Daily and overall unsatisfactory performance at Mwananchi Communications in Tanzania.

Group profit attributable to shareholders grew by 9% to Shs.783.2 million.

### DIVIDENDS

An interim dividend of Shs.2.00 (40%) per share and a special dividend of Shs.5.00 (100%) were paid in September 2006 and February 2007 respectively.

Considering the good results achieved, your Board of Directors now recommends the payment of a final dividend of Shs.5.00 (100%) per share.

The total dividend per share for the year 2006 at Shs.12.00 (240%) per share represents an increase of 100% over the amount paid for the prior year.

### FUTURE AND STRATEGY

Whereas the region within which the Group operates has recorded sustained albeit modest economic growth in recent times, the developments in the political and legislative environment have been less encouraging.

Several bills which seek to regulate the structure and operations of the media are under consideration. As a Group we reaffirm our often stated position of supporting legislated self regulation of the media industry and respect for and protection of both public and private investment as well as constitutional safeguards of freedom of expression in general and of the press in particular which we remain fully committed to exercising responsibly in accordance with our editorial policy.

We will continue to engage all stakeholders in debating the proposals as we seek to develop our industry and our company across the region.

The Group will continue to consolidate its position in East Africa as it pursues new business development opportunities across the various media segments in the region and beyond as it strives to attain its vision of becoming 'The Media of Africa for Africa'.

### THE BOARD & MANAGEMENT

The Group's long serving Chief Executive Officer, Mr. Wilfred Kiboro retired in October 2006 and was succeeded by Mr. Linus Gitahi who joined the Group following an illustrious career at a leading multinational corporation.

On behalf of the Board and on my behalf, I would like to thank Mr. Kiboro for his dedicated and exemplary service to the Group over the years and wish him the best in his retirement. He continues to serve the group as a non-executive director.

During his tenure at the helm of the Group's management, Mr. Kiboro led the Group through a significant growth and diversification phase into television and radio broadcasting and expansion to Tanzania and Uganda.

I also take this opportunity to welcome Mr. Gitahi to Nation Media Group and the Board and wish him every success as he steers our Group to even greater heights.

Finally, I would like to express my sincere gratitude to all Board members for their continued dedicated contribution to the Group.

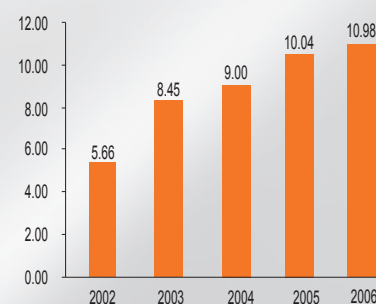
H H Awori  
Chairman



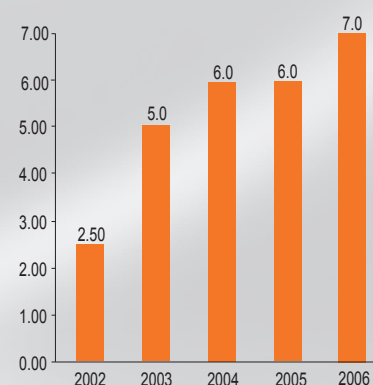
## Chairman's Statement continued



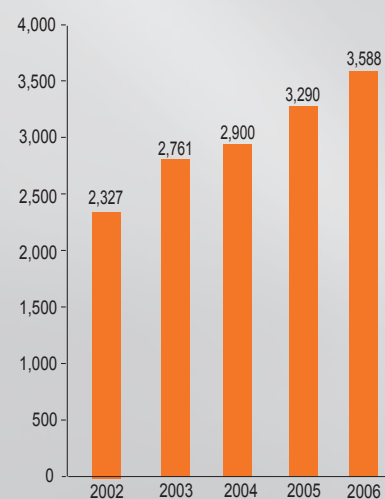
### Earnings per Share (shs)



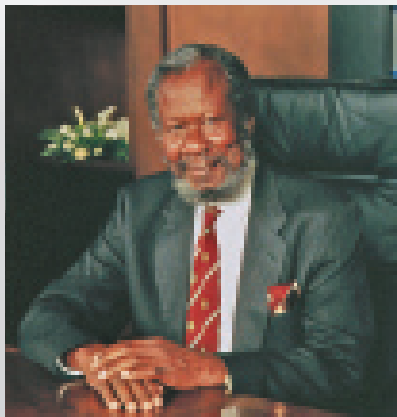
### Dividends per Share (shs)



### Shareholders' Fund (shs m)



## Taarifa ya Mwenyekiti



H. H. Awori  
Mwenyekiti

**N**inafuraha kubwa isiyoyana na kifani kuwajulisha kwamba kampuni yenu ilipata ufanisi mkubwa tena mwaka wa 2006.

Hali iliimarika katika mazingira ya kibiashara na sekta nyingi za kiuchumi zikiwemo mawasiliano, huduma za kifedha, utalii na kilimo zikiandikisha utendaji bora na kuchangia ukuaji jumla wa asilimia 6 ya pato ghafi la kitaifa.

### MATOKEO YA 2006

Mapato yaliongezeka kwa asilimia 13 hadi shilingi bilioni 6.3 wakati ambapo faida kabla ya kutozwa ushuru iliongezeka kwa asilimia 14 hadi shilingi bilioni 1.2.

Matokeo hayo ya kampuni yalishinikizwa sana na utendaji bora wa Nation Newspapers na kitengo cha utangazaji nchini Kenya (NBD) na vile vile mchango wa kuonekana kutoka Monitor Publications nchini Uganda.

Hata hivyo, mapato yaliyopatikana kwenye vitengo hivyo kama ilivyoielezwa hapo juu yalifidia gharama kwa kiasi kidogo ya kufunguliwa tena kwa hatua ya kampuni ya maendeleo ya kibiashara yaliyofanyika katika kipindi cha Kituo kipya cha runinga nchini Uganda – NTV (Uganda) na gazeti jipya la kibiashara nchini Kenya - *The Business Daily* - na jumla ya utendaji wa kutoridhisha kwa Mwananchi Communications nchini Tanzania.

Faida inayostahili wenye hisa iliongezeka kwa asilimia 9 hadi shilingi milioni 783.2.

### MGAWO

Mgawo wa muda wa shilingi 2.00 (asilimia 40) kwa kila hisa na mgawo maalum wa shilingi 5.00 (asilimia 100) ililipwa Septemba, 2006 na Februari, 2007 mtawalia.

Ukizingatia matokeo mazuri yaliyopatikana, Kamati ya wakurugenzi sasa inapendekeza malipo ya mgawo wa mwisho wa shilingi 5.00 (asilimia 100) kwa kila hisa.

Jumla ya mgawo kwa kila hisa kwenye mwaka wa 2006 wa shilingi 12.00 (asilimia 240) kwa kila hisa kunaashiria ongezeko la asilimia 100 zaidi ya kiwango kilicholipwa mwaka uliotangulia.

### MIKAKATI NA SIKU ZA USONI

Pahali ambapo kampuni inaendeshea shughuli zake, kumeimarika katika ukuaji wa kiuchumi hasa kwenye siku zilizopita, ilhali maendeleo kwenye kisiasa na mazingira ya uongozi yamekuwa hayatupi moyo.

Miswada mingi ambayo inatakiwa kurekebisha muundo na utendaji wa vyombo vya habari bado inashughulikiwa ipasavyo. Tukiwa kama kampuni tunathibitisha tena nafasi yetu ya kuunga mkono sheria ya marekebisha ya kibinafsi kwenye sekta na kuzingatia heshima na kulinda muamana wa umma na wawekezaji wakibinafsi na vile vile uhuru wa kujieleza katika kuilinda Katiba kwa ujumla. Hususan, wanahabari tunaodumu kujitolea kikamilifu kuwajibika kulingana na sera zetu za uhariri.

Tutaendelea kuwahusisha washikadau wote kujadili mapendekezo wakati tunapohitaji kuendeleza sekta yetu na kampuni yako katika kila eneo.

Kampuni itaendelea kuimarisha nafasi yake kwenye kanda ya Afrika

mashariki wakati inapoendelea kutafuta nafasi mpya za maendeleo ya kibiashara katika sehemu tofauti tofauti kwenye kanda na zaidi ya hapo, kujitahidi kutimiza ndoto yake ya kuwa “Shirika bora la usambazaji habari la Afrika kwa Waafrika” (*The Media Of Africa for Africa*).

### KAMATI YA WASIMAMIZI

Afisa mkuu Mtendaji wa kampuni aliyefanya kazi kwa muda mrefu, Bw. Wilfred Kiboro alistaafu Octoba, 2006 na badala yake akachukua hatamu ya uongozi Bw. Linus Gitahi aliyenjeunga na kampuni kufuatia umashuhuri wa taaluma yake kwenye mashirika ya kimataifa.

Kwa niaba ya kamati na kwa niaba yangu mwenyewe, ningependa kumshukuru Bw. Kiboro kwa huduma zake za dhati na maridhawa kwenye kampuni kwa miaka hiyo yote na namtakia kila la heri katika kustaafu kwake. Anaendelea kuhudumu kama mkurugenzi.

Wakati wa usimamizi wake na kipindi chake cha kushikilia usukani wa uongozi wa kampuni Bw. Kiboro aliongoza kampuni hadi ikawa na ubora wa kuridhisha kwenye taaswira ya runinga na utangazaji katika radio na kupanua Tanzania na Uganda.

Pia ningependa kuchukua fursa hii kumkaribisha Bw. Gitahi katika Shirika la Nation Media Group na kwenye kamati na kumtakia kila la heri wakati anaposhika usukani kuongoza kampuni hii hadi viwango vya juu.

Nikitamatisha, ningependa kutoa shukurani zangu za dhati kwa wanakamati wote kwa kujitolea kwao kwa hali na mali na kuchangia katika kuboresha hali ya kampuni hii.

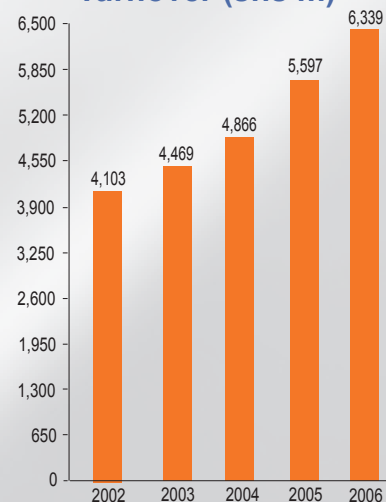
H. H. Awori  
Mwenyekiti



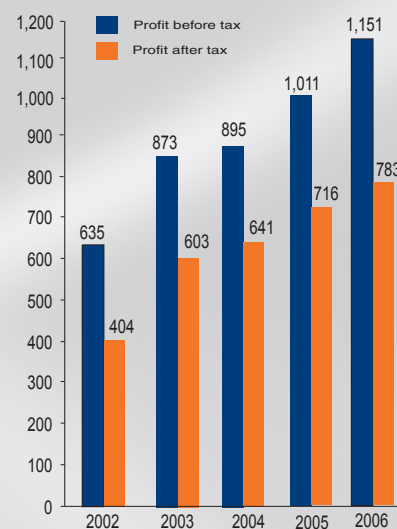
## Taarifa ya Mwenyekiti inaendelea



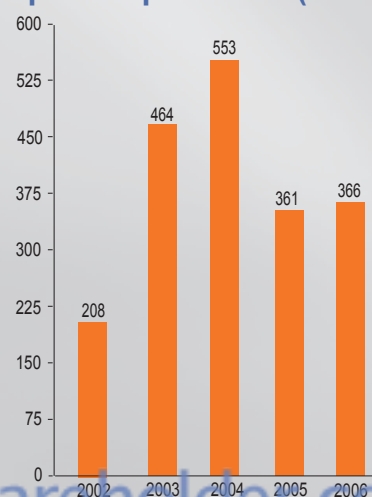
**Turnover (shs m)**



**Profit before & after tax (shs m)**



**Capital Expenditure (shs m)**



## Group Chief Executive's Report



L W Gitahi  
Group Chief Executive Officer

First, I would like to thank the Board and staff of Nation Media Group for a very warm welcome accorded to me when I assumed my position on 1 November 2006. This is a great family running a great company and I am sure together we shall move the business forward significantly.

In 2006, the Group registered improvement in its overall results for the year and maintained a satisfactory performance trend.

Group turnover grew by Shs.742.1 million (13%) to Shs.6.3 billion while profit before tax increased by Shs.140.2 million (14%) to Shs.1.2 billion.

During the year the Group invested Shs.365.5 million in capital expenditure in furtherance of its development initiatives as well as renewing and

upgrading capacity of the ongoing operations to address the market demand and maintain its leadership position.

Following the investment in capital expenditure above and the payment of Shs.499.1 million in dividends during the year, the Group's cash reserves increased by Shs.727.4 million to Shs.1.7 billion as at 31 December 2006.

The period's good results are largely attributable to growth in the Group's revenues arising from market share increases in newspaper business and broadcasting audience ratings.

### NATION NEWSPAPERS DIVISION (NND)

The division had an excellent year. In addition to the market share gains, the division's results were further boosted by a performance improvement project undertaken in the year and the sustained strength of the Kenya shilling which, together with a reduction of the import duty on newsprint in the latter part of the year mitigated the impact of rising global prices of newsprint.

The division installed an additional colour printing unit at its printing plant and commenced the upgrade of its editorial and advertising pre-press production system.

The division's flagship newspapers Daily Nation and Sunday Nation were also redesigned and relaunched in December 2006.

The market response to the re-launched publications has been very positive and the full impact of the investment is expected to be realized in 2007 as the circulation volume increases benefits accrue throughout the year.

### NATION MARKETING AND PUBLISHING LIMITED (NMP)

The rationalization of the stable of magazines distributed by the division resulted in an improvement of its contribution to the Group's operating profit.

### NATION BROADCASTING DIVISION (NBD)

The division registered exceptional results following the consolidation of NTV (its television station) - rating as the leading television channel in the market. The strong ratings generated a growth of 33% in the division's advertising revenue which resulted in the division realizing a considerable contribution.

The division also strengthened its radio management resources during the year and initial market feedback to the developments initiated at Easy FM have been most encouraging.

### NATION CARRIERS DIVISION (NCD)

The division was reorganized and restructured to refocus on the core activity of newspaper delivery services to Nation Newspapers. Whilst the



## Group Chief Executive's Report continued

re-organization resulted in a decline in revenue and contribution of the division, the new structure is expected to significantly improve the division's future contribution to the Group.

### MONITOR PUBLICATIONS LIMITED (MPL) - UGANDA

MPL registered its best results yet as the investments made in product development and staff continued to pay off. The Company's performance was also boosted by a vibrant news environment over the presidential and parliamentary election period in Uganda.

The Company grew its market share and recorded double digit growth in both its newspaper advertising and circulation revenues while its radio station – KFM realized a first time operating profit.

### MWANANCHI COMMUNICATIONS LIMITED (MCL) – TANZANIA

MCL had mixed fortunes in the year. Sharp increases in production and operating costs as well as the impact of the depreciation of the Tanzania shilling far outstripped an increase of 27% in the Company's revenue.

Appropriate hedging measures to minimize the impact of further currency risk exposures were effected in the latter part of the year while the other key operating challenges are being addressed primarily through a management resource strengthening initiative.

### EAST AFRICAN MAGAZINES LIMITED (EAM)

EAM had a very successful year. The Company's flagship magazine True Love consolidated its leadership of the magazine segment of the media market while Drum was successfully re-launched as the region's first fortnightly magazine.

The Company registered a revenue growth of 57% and its overall performance is in line with its business plan.

### BUSINESS DEVELOPMENT

Since the last report to the time of writing this report, two major business development projects were undertaken namely; the set up and commissioning of a new television station in Uganda – NTV (Uganda) and the launch of a new daily newspaper in Kenya – The Business Daily.

Whilst both ventures had excellent starts, NTV (Uganda) has regrettably remained shut since February 2007 following closure by the regulatory authorities in Uganda. Whilst every effort is being made to get the station back on air, its continued unexplained closure is bound to adversely impact the Group's results in 2007. Following its launch in March 2007, the Business Daily has connected well with the targeted readership and advertising clientele and although it is still in its early days, the initial indications and feedback are very positive and extremely promising.

### APPRECIATION

In conclusion, I would like to sincerely thank all our readers, viewers, listeners, advertisers and other business partners for their continued custom and unwavering support and reassure them of the Group's continued commitment to the highest levels of service.

Equally, I would like to express my sincere gratitude to all Nation Media Group staff for their exceptional dedication and service to the Group and to the Board of Directors for the guidance and leadership.

L W Gitahi  
Group Chief Executive Officer



## Ripoti ya Afisa Mkuu Mtendaji wa Kampuni



**L W Gitahi**  
Afisa Mkuu Mtendaji wa Kampuni

**K**wanza kabisa, ningependa kuishukuru Halmashauri Kuu na wafanyikazi wote wa Nation Media Group kwa ukarimu wao wa kunikaribisha vyema nilipojiunga na shirika hili adhwima mnamo tarehe 1, Novemba, 2006. Hii ni familia kubwa inayoendesha kampuni kubwa na nina hakika ya kwamba kwa pamoja tutashirikiana ili kuboresha na kuendeleza biashara yetu kikamilifu.

Mwaka wa 2006, Kampuni iliandikisha ufanisi mzuri kwenye matokeo yake ya jumla mwaka uliopita kwa kudumisha utendajikazi bora.

Mapato ya Kampuni yaliongezeka kwa shilingi milioni 742.1 (asilimia 13) hadi shilingi bilioni 6.3 wakati ambapo faida kabla ya kutozwa ushuru iliongezeka kwa shilingi milioni 140.2 (asilimia 14) hadi shilingi bilioni 1.2.

Mwaka huo kampuni iliwekeza shilingi milioni 365.5 kwenye matumizi ya mtaji kuboresha hatua ya maendeleo yake na vile vile kubadilisha na kuongeza kiwango cha mipango ya oparesheni inayoendelea ili kuelezea mahitaji ya soko na kudumisha nafasi ya uongozi.

Kufuatia uwekezaji kwenye matumizi ya mtaji hapo juu na malipo ya shilingi milioni 499.1 katika mgawo wa mwaka huo, hifadhi ya kampuni iliongezeka kwa shilingi milioni 727.4 hadi shilingi bilioni 1.7 kufikia Desemba 31, 2006.

Matokeo mazuri ya mwaka huo yalichangiwa pakubwa kufuatia uboreshaji wa mapato ya kampuni kutokana na kuongezeka kwa viwango vya mapato kwenye idara za mauzo na usambazaji wa magazeti na viwango vya utangazaji kwa watazamaji.

### **KITENGO CHA NATION NEWSPAPERS (NND)**

Kitengo hiki kilikuwa na mwaka mzuri wa mafanikio. Kuimarika, matokeo ya kitengo hiki yaliboreshwa zaidi na miradi ya kimaendeleo ya utendaji uliofanywa mwaka huo na uthabiti wa kudumu wa shilingi ya Kenya ambao, ni pamoja na kupunguzwa ushuru wa kuingiza bidhaa za kuchapisha humu nchini katika sehemu ya mwaka, kulipunguza uwezekano wa kuongezeka kwa gharama za uchapishaji.

Kitengo hiki kilisimika mnara wa ziada kwenye eneo la uchapishaji na

kuboresha mfumo wa mitambo ya kimtandao.

Fahari ya kitengo hiki cha magazeti ya Daily Nation na Sunday Nation pia kilibadilishwa na kuzinduliwa upya Desemba 2006.

Mapokezi ya machapisho hayo sokoni yamekuwa ya kufana sana na maono kamili ya uwekezaji yanatarajiwa kuonekana mwaka wa 2007 wakati usambazaji wa nakala unapimarika na faida nayo ikizidi kuongezeka.

### **KAMPUNI YA NATION MARKETING AND PUBLISHING (NMP)**

Ugawaji sawa wa usambazaji wa majarida kutoka kwenye kitengo hiki ulipelekea kuongezeka na kuimarika kwa faida ya utendaji wa kampuni.

### **KITENGO CHA NATION BROADCASTING (NBD)**

Kitengo hiki kiliandikisha matokeo ya kipekee kufuatia kuimarika kwa NTV (kituo cha runinga) kikiongoza kama kituo cha kwanza sokoni. Viwango bora vilizalisha asilimia 33 katika mapato ya utangazaji ambayo yalisababisha kitengo hicho kugundua mchango wao wa kufana.

Kitengo hicho pia kiliimarisha rasilimali zake za usimamizi wa Radio mwaka huo na matokeo yake ya mwanzo kutoka sokoni kwenye hatua ya maendeleo ya Easy FM yamekuwa yakutupa moyo mno.



## Ripoti ya Afisa Mkuu Mtendaji wa Kampuni inaendelea

### **KITENGO CHA NATION CARRIERS (NCD)**

Kitengo hiki kilipangwa upya na kurekebisha kuangalia kwa makini mambo muhimu yanayohusiana na huduma ya uchukuzi wa magazeti kwa Nation Newspapers. Wakati ambapo mageuzi hayo yalipelekea kuzorota kwa mapato na uchangiaji kwenye kitengo hicho, sura hiyo mpya inatazamiwa kutoa mchango mzuri siku za usoni kwenye kampuni.

### **KAMPUNI YA MONITOR PUBLICATIONS (MPL) - UGANDA**

MPL iliandikisha matokeo bora wakati ambapo uwekezaji wa uimarishaji wa bidhaa na watu, ulipoanza kuonyesha mazao yake. Utendaji bora wa kampuni hiyo pia uliongezeka kutokana na msisimko wa habari kufuatia hekaheka za uchaguzi nchini Uganda.

Kampuni hiyo iliboresha viwango vya mapato ya usambazaji na mauzo na kurekodi ukuwaji maradufu wa dijiti, huku Kituo cha radio – KFM kikiweza kuthibiti soko kwa mara ya kwanza hasa katika faida ya uendeshaji biashara.

### **KAMPUNI YA MWANANCHI COMMUNICATIONS (MCL) – TANZANIA**

MCL ilichanganya mali mwaka huo. Ongezeko la haraka katika gharama za uzalishaji na utendakazi na vile vile athari ya kushuka kwa thamani ya shilingi ya Tanzania, kulififisha ongezeko la asilimia 27 kwenye mapato ya kampuni hii.

Hatua inayofaa kupunguza athari zaidi za hatari ya fedha zilichukuliwa katika sehemu ya mwisho wa mwaka wakati changamoto zingine muhimu zinapojadiliwa kupitia kwenye maamuzi ya kimsingi ya kuboresha usimamizi wa rasilimali.

### **KAMPUNI YA EAST AFRICAN MAGAZINES (EAM)**

EAM ilikuwa na mwaka wa kufana sana. Jarida maarufu katika kampuni hii, True Love liliimarisha uongozi wake katika sehemu ya majarida kwenye soko. Jarida la The Drum lilizinduliwa kikamilifu kama jarida la kwanza bora linalochapishwa mara mbili kwa mwezi.

Kampuni hiyo iliandikisha ongezeko la mapato kwa asilimia 57 na utendaji wake kwa ujumla uliambatana na mpango wa kibiashara.

### **MAENDELEO YA KIBIASHARA**

Miradi miwili muhimu ya kimaendeleo iliyofanyika ilikuwa ni; kutengeneza na kusimika kituo kipya cha runinga Uganda – NTV (Uganda) na kuzinduliwa kwa gazeti jipya la kibiashara hapa Kenya – The Business Daily.

Wakati ambapo mambo yote hayo mawili yalikuwa na mwanzo mzuri, NTV (Uganda) imebaki kujitia kufungwa tangu Februari 2007 kufuatia amri ya mamlaka husika nchini Uganda. Wakati huu juhudi zote zinafanyika kuhakikisha kwamba kituo hicho kinarudi kupeperusha matangazo yake hewani, kuendelea kufungwa kwa kituo hicho katika hali ya kutoeleweka

kutaathiri vibaya matokeo ya kampuni mwaka wa 2007.

Kufuatia uzinduzi wake wa Machi 2007, gazeti la The Business Daily limeshanawiri vyema kwa wasomaji waliolengwa na wateja wa utangazaji na licha ya kwamba bado liko katika siku zake za mwanzo, ishara na mapokezi yake ni ya kutajika na kuwa na matumaini ya kupata mafanikio kabambe siku zijazo.

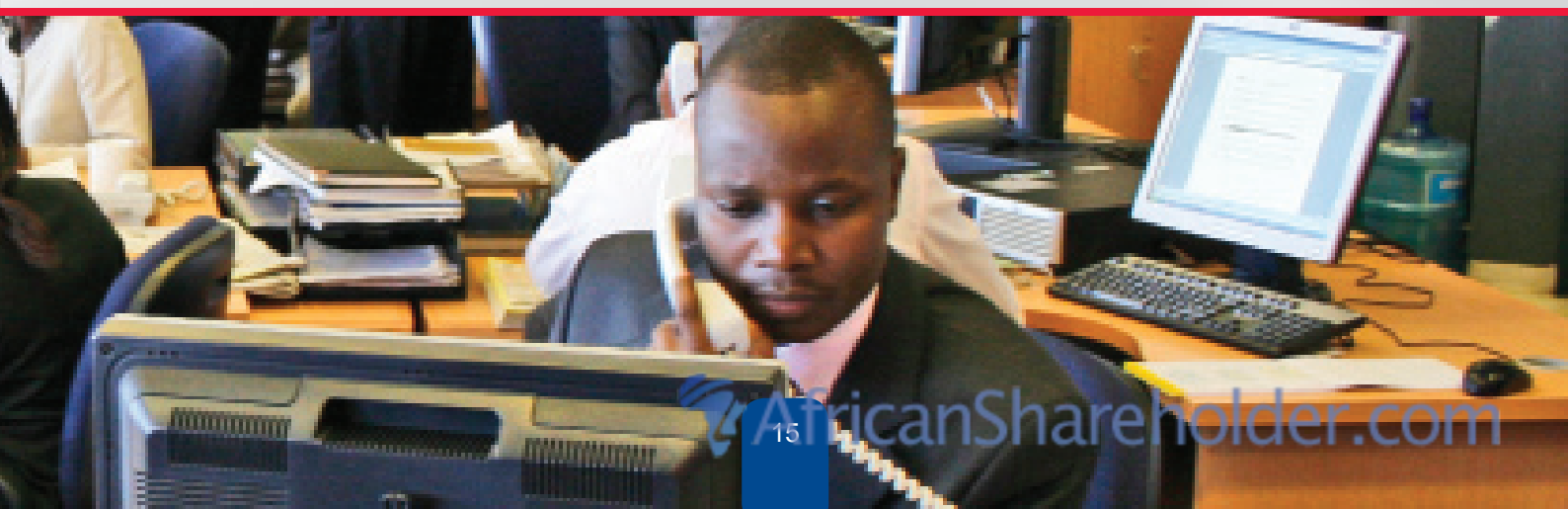
### **SHUKURANI**

Nikimalizia, ningependa kuwashukuru kwa dhati wasomaji wetu wote, watazamaji, wasikilizaji, watangazaji wa bidhaa na wadau wengine wakibiashara kwa kuendelea kuwa wateja na usaidizi wao madhubuti na kuwahakikishia kwamba kampuni itajitolea kuendelea kutoa huduma bora za uendeshaji hadi kwenye viwango vya juu.

Kwa usawa, ningependa kutoa shukurani zangu za dhati kwa wafanyikazi wote wa Nation Media Group kwa kujitolea muhanga kuhudumia shughuli za kampuni na kwenye kamati ya wakurugenzi kwa usimamizi na uongozi bora.

L W Gitah

Afisa Mkuu Mtendaji wa Kampuni



## Board of Directors



**Mr Linus Gitahi**

Mr Linus Gitahi holds an MBA from USIU and a Bachelor of Commerce (Accounting) from the University of Nairobi. He joined the company as the Group Chief Executive Officer on 1st November 2006 and was appointed to the board in December 2006. He previously worked with a leading pharmaceutical company as Managing Director based in Nigeria. He is a director of the group's subsidiary companies, Equity Bank and Property Development and Management Limited. Mr Gitahi serves on the Strategic Planning, the Editorial and the Nominations Committees.



**Mr Dennis Aluanga**

Mr Dennis Aluanga holds an MBA from the University of Edinburgh, United Kingdom and is a Certified Public Accountant of Kenya. He was appointed to the board in December 2002 as the Group Finance Director. He was appointed Chief Operating Officer in September 2006. Mr Aluanga is a director of the group's subsidiary companies and Property Development and Management Limited. He serves on the Strategic Planning and the Editorial Committees.



**Mr James Lee**

Mr James Lee, who holds an MBA from Harvard University, began his career as a Director of McKinsey & Company. He has since had a distinguished career with the international media. He was formerly CEO of the Pearson Group in the United Kingdom; Deputy Chairman of Yorkshire Television and Chairman of Goldcrest Films & TV. He was appointed to the board in December 2001. He serves on the Remuneration and the Strategic Planning Committees.



**Mr Wilfred Kiboro**

Mr Wilfred Kiboro who holds a Bachelor of Science (Civil Engineering) from the University of Nairobi retired as the Group Chief Executive Officer on 31st October 2006 after working for the company for thirteen years. He was appointed a non-executive director in December 2006. He serves on the Strategic Planning and Nomination committees. Mr Kiboro is a director of East African Breweries Limited and Chairman of Wilfay Investments Limited.



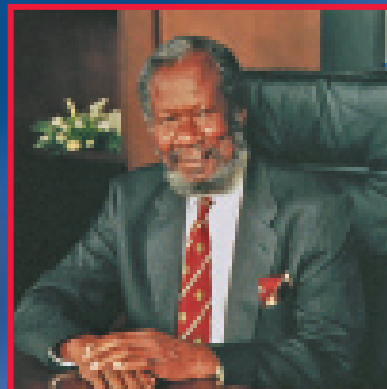
**Mr Dominique d'Acremont**

Mr Dominique d'Acremont who holds an MBA and MEcon.Sc from Paris university, retired from AKFED in 2005 where he was an Investment Manager in the industrial services sector. Prior to that he was the Finance Director of the French subsidiary of I.T.T. (USA). Currently he is a Director of an air transport company in Europe and of a development institution in West Africa. He joined the board in April 1998 and is the Chairman of the Finance and Audit Committee.



**Mr Abdallah Bekah**

Mr Abdallah Bekah holds a Bachelor of Arts (Hons) Degree from the University of Nairobi, a Diploma in Insurance from the college of insurance, in Surbiton, United Kingdom and is a Chartered Insurance Practitioner (CII). He is the Managing Director of Sedgwick Kenya Insurance Brokers Limited and is the chairman of the College of Insurance Management Board. He joined the board in April 1996 and serves on the Editorial and the Remuneration Committees.



**Mr Hannington Awori**

Mr Hannington Awori holds a Bachelor of Science (Civil and Mechanical Engineering) degree from the University of London. He started his working career in 1957 with W & C French, a civil engineering company in the United Kingdom. He joined Unilever (East African Industries) in 1964, from where he retired as Technical Director in 1990. Mr Awori joined the board in April 1989 and was appointed Chairman in September 2000. He has served as chairman of the Finance and Audit Committee and serves as a member of the Nominations committee. Mr Awori is the chairman of the Centre for Corporate Governance and is a director of Phoenix Insurance Limited, Syngenta Limited and Mabati Rolling Mills.



## Board of Directors continued

Dr Martin Alikor, holds a Bachelor of Medicine (Dental) from Northwestern University, USA. He is a retired Dental Surgeon based in Uganda and joined the board in June 2001. He is the Chairman of Monitor Publications Limited, Stanbic Bank Uganda Limited and Hima Cement all in Uganda. He serves on the Strategic Planning Committee.



Mr Martin Alikor

Mr Gerard Wilkinson holds a BA, MEcon.Sc and MS from Ireland and the United States of America. He lectured at the School of Business, University College Dublin. He has served as a senior executive at Independent Newspapers, Dublin, Managing Director, Nation Newspapers and Head of Public Affairs at the Aga Khan Secretariat in Paris, France. He initially served on the board from September 1973 until 1980 and rejoined the board in April 1983. Mr Wilkinson is the Chairman of the Nominations Committee and serves on the Strategic Planning Committee.



Mr Gerard Wilkinson

Mr Francis Okomo Okello holds a Bachelor of Laws Degree from the University of Dar es Salaam, Tanzania and is an Advocate of the High Court of Kenya, an Albert Parvin Fellow of Princeton University as well as a Fellow of the Kenya Institute of Bankers (FKIB). He is currently the Head of Legal and Corporate Affairs at Industrial Promotion Services Group of Companies. He joined the board in December 1995. He is the Chairman of Barclays Bank of Kenya Limited and TPS Eastern Africa Limited (Serena Group of hotels and lodges). Mr Okello is the Chairman of the Editorial Committee and serves on the Remuneration Committee.



Mr Francis Okomo Okello

Mr Ali Mufuruki holds a Bachelor of Science (Mechanical Engineering) from the Fachhochschule for Technology and Economics in Reutlingen, Germany. He is a businessman and Chairman of Infotech Investment Group Limited based in Tanzania. He joined the board in March 2006. He is the Chairman of Mwananchi Communications Limited, the group's subsidiary in Tanzania, a Director of TPS Eastern Africa Limited (Serena Group of hotels and lodges) and Stanbic Bank Tanzania Limited. Mr Mufuruki is the Chairman of the Remuneration Committee and serves on the Finance and Audit Committee.



Mr Ali Mufuruki

Prof. Lee Huebner is Director of the School of Media and Public Affairs at The George Washington University in Washington, D.C. (USA). He was formerly a professor at Northwestern University and also served as Chief Executive Officer of the International Herald Tribune in Paris for fourteen years. He joined the board in December 1995. Prof. Huebner is the Chairman of the Strategic Planning Committee and serves on the Nominations Committee.



Mr Lee Huebner

Mr Anwar Poonawala, holds a Master of Science (Industrial Engineering) and an MBA. He joined the board in June 1989. He has been associated with the Aga Khan Development Network for over thirty years and retired in 2006 as the director of Industrial Promotion Services based in Paris, France. Mr Poonawala is a director of AKFED. He serves on the Finance and Audit, the Remuneration and the Nominations Committees.



Mr Anwar Poonawala



## Board of Directors

|                                                                   |                                                                                        |                                                                           |
|-------------------------------------------------------------------|----------------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| Chairman (Kenyan)                                                 | H H O Awori                                                                            | Mwenyekiti (Mkenya)                                                       |
| Chief Executive / Managing (Kenyan)<br>Appointed 14 December 2006 | L W Gitahi                                                                             | Mrasimu Mkuu / Msimamizi<br>(Mkenya) Aliteuliwa tarehe<br>14 Desemba 2006 |
| (Ugandan)                                                         | M J Alier                                                                              | (Mganda)                                                                  |
| (Kenyan)                                                          | A Bekah                                                                                | (Mkenya)                                                                  |
| (French)                                                          | D d'Acremont                                                                           | (Mfaransa)                                                                |
| (Kenyan)                                                          | D Aluanga                                                                              | (Mkenya)                                                                  |
| (American)                                                        | L Huebner                                                                              | (Muamerikani)                                                             |
| (British)                                                         | J Lee                                                                                  | (Mwingereza)                                                              |
| (Kenyan) Appointed 14 December 2006                               | W D Kiboro                                                                             | (Mkenya) Aliteuliwa tarehe<br>14 Desemba 2006                             |
| (Tanzanian)                                                       | A Mufuruki                                                                             | (Mtanzania )                                                              |
| (Kenyan)                                                          | F O Okello                                                                             | (Mkenya)                                                                  |
| (French)                                                          | A Poonawala                                                                            | (Mfaransa)                                                                |
| (Irish)                                                           | G M Wilkinson                                                                          | (Mu-Irish)                                                                |
| Secretary                                                         | J C Kinyua                                                                             | Katibu                                                                    |
| Registered Office                                                 | Nation Centre<br>Kimathi Street<br>P O Box 49010-00100<br>Nairobi                      | Afisi ilikoandikishwa                                                     |
| Advocates                                                         | Kaplan & Stratton<br>Williamson House<br>4th Ngong Avenue<br>Nairobi                   | Wakili                                                                    |
| Auditors                                                          | PricewaterhouseCoopers<br>The Rahimtulla Tower<br>Upper Hill Road<br>Nairobi           | Wakaguzi wa Hesabu                                                        |
| Bankers                                                           | Standard Chartered Bank<br>of Kenya Limited<br>Stanbank House<br>Moi Avenue<br>Nairobi | Benki                                                                     |



## Directors' Report

The directors have pleasure in presenting their report and the audited financial statements for the year ended 31 December 2006, which disclose the state of affairs of Nation Media Group Limited (the company) and its subsidiaries (together, the group).

### PRINCIPAL ACTIVITIES

The principal activities of the group are the publication, printing and distribution of newspapers and magazines, and radio and television broadcasting, in Kenya, Uganda and Tanzania.

### GROUP RESULTS

The results of the group for the year are set out in the profit and loss account on page 24.

### DIVIDENDS

The directors recommend the payment of a final dividend of 100% on the issued share capital at 31 December 2006, which together with the interim dividend of 40% paid on 8 September 2006 and a special dividend of 100% paid on 8 February 2007 makes a total of 240% in respect of the year ended 31 December 2006.

### DIRECTORS

The directors who held office during the year and to the date of this report are set out on page 16-17.

Mr Linus Gitahi was appointed Group Chief Executive Officer on 1 November 2006 and appointed to the board on 14 December 2006. He retires as a director in accordance with Article 96 of the Company's Articles of Association and being eligible, offers himself for election.

Mr. Wilfred Kiboro retired as Group Chief Executive Officer on 31 October 2006 and was appointed a non-executive director on 14 December 2006. He retires in accordance with Article 96 of the company's Articles of Association and being eligible, offers himself for election.

Dr M J Aliker, a director who retires in accordance with Article 101 and who has attained the age of 77, shall notwithstanding that fact, offer himself for re-election as a director of the Company for a further period of three years.

### AUDITORS

The company's auditors PricewaterhouseCoopers have expressed their willingness to continue in office in accordance with Section 159(2) of the Companies Act (Cap 486) Laws of Kenya.

By order of the Board

J C Kinyua  
Secretary

22 March 2007

## Taarifa ya Wakurugenzi

Wakurugenzi wana furaha ya kutangaza taarifa yao pamoja na taarifa za hesabu zilizokaguliwa za mwaka uliomalizika Desemba 31, 2006, ambazo zinaonyesha hali ya mambo ya kampuni ilivyo kwa sasa.

### SHUGHULI KUU

Biashara kuu za kampuni ni pamoja na machapisho, uchapishaji na usambazaji wa magazeti na majarida, na utangazaji wa radio na televisheni, nchini Kenya, Uganda na Tanzania.

### MATOKEO YA KAMPUNI

Matokeo ya kampuni ya mwaka uliopita yamefafanuliwa katika hesabu za faida na hasara katika ukurasa wa 24.

### MGAWO

Wakurugenzi wanapendekeza malipo ya mwisho ya mgawo ya asilimia 100 kutokana na mtaji wa hisa zilizotolewa kufikia Desemba 31, 2006, ambao pamoja na mgawo wa muda wa asilimia 40 uliolipwa Septemba 8, 2006 na malipo ya mgawo maalum wa asilimia 100 uliolipwa February 8, 2007, unafikisha jumla ya asilima 240 kuhusiana na mwaka uliomalizika Desemba 31, 2006.

### WAKURUGENZI

Wakurugenzi waliohudumu mwakani hadi wakati wa kuchapishwa kwa taarifa hii ni kama walivyo katika orodha iliyochapishwa katika ukurasa wa 16-17.

Bw. Linus Gitahi aliyeteuliwa Afisa Mkuu Mtendaji wa Kampuni tarehe 1 Novemba 2006 na aliteuliwa kama mkurugenzi tarehe 14 Desemba 2006, anastaafu kama Mkurugenzi kwa mujibu wa kifungu cha 96 cha Kanuni za Kampuni, na kwa kuwa anastahili, anajitolea kwa uchaguzi.

Bw. Wilfred Kiboro ambaye alistaafu kama Afisa Mkuu Mtendaji wa Kampuni mnamo Octoba 31, 2006 aliteuliwa kama mkurugenzi tarehe 14 Desemba 2006. Anastaafu kwa mujibu wa Kifungu cha 96 cha Kanuni za Kampuni, na kwa kuwa anastahili, anajitolea kwa uchaguzi.

Dkt. M J Alier, Mkurugenzi anayestaafu kuambatana na kifungu cha 101 cha Kanuni za Kampuni na ambaye amefika umri wa miaka 77, licha ya maelezo haya, ataweza kuchaguliwa tena kama Mkurugenzi wa Kampuni kwa kipindi cha miaka mitatu ijayo.

### WAKAGUZI WA HESABU

Wakaguzi wa kampuni PricewaterhouseCoopers baada ya kudhihirisha hiari yao, wataendelea na kazi ya uhasibu kwa mujibu wa kifungu nambari 159(2) cha Sheria za Kampuni (Cap 486) Sheria za Kenya.

Kwa amri ya Halmashauri

J C Kinyua  
Katibu

Machi 22 2007



## Statement of Directors' Responsibilities

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the group and of the company as at the end of the financial year and of the group's profit or loss. It also requires the directors to ensure that the company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and of the company and of the group's profit or loss in accordance with International Financial Reporting Standards. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

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H H O Awori

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D Alunga

22 March 2007



# Report of the Independent Auditors

to the Shareholders of Nation Media Group Limited

## REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS

We have audited the accompanying consolidated financial statements of Nation Media Group Limited (the company) and its subsidiaries (together, the group), as set out on pages 24 to 48. These financial statements comprise the consolidated balance sheet at 31 December 2006 and the consolidated profit and loss account, statement of changes in equity and cash flow statement for the year then ended, together with the balance sheet of the company standing alone as at 31 December 2006 and the statement of changes in equity of the company for the year then ended, and a summary of significant accounting policies and other explanatory notes.

## DIRECTORS' RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and with the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

## AUDITOR'S RESPONSIBILITY

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

## OPINION

In our opinion the accompanying financial statements give a true and fair view of the state of the financial affairs of the group and of the company at 31 December 2006 and of the profit and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

## REPORT ON OTHER LEGAL REQUIREMENTS

The Kenyan Companies Act requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion proper books of account have been kept by the company, so far as appears from our examination of those books;
- iii) the company's balance sheet is in agreement with the books of account.

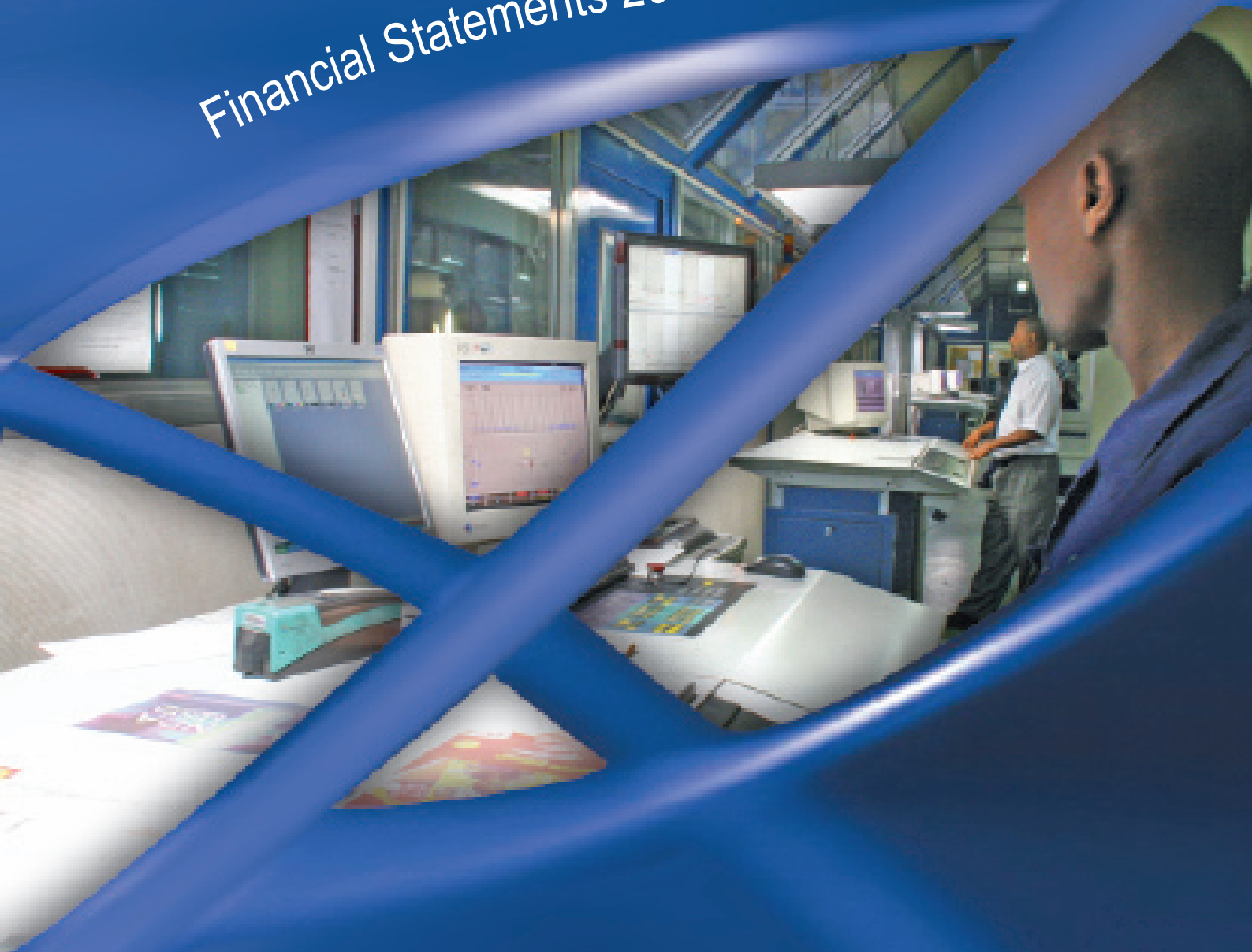
**PRICEWATERHOUSECOOPERS** 

Certified Public Accountants

22 March 2007



# Financial Statements 2006



## Group Profit and Loss Account

|                                               | Note | 2006<br>Shs m | 2005<br>Shs m |
|-----------------------------------------------|------|---------------|---------------|
| Sales                                         | 5    | 6,339.2       | 5,597.1       |
| Cost of sales                                 |      | (1,426.4)     | (1,338.0)     |
| Gross profit                                  |      | 4,912.8       | 4,259.1       |
| Distribution costs                            |      | (210.7)       | (193.6)       |
| Administrative expenses                       |      | (744.4)       | (743.8)       |
| Other operating expenses                      |      | (2,892.1)     | (2,375.2)     |
| <b>Operating profit</b>                       | 6    | 1,065.6       | 946.5         |
| Net finance income                            | 8    | 59.1          | 44.6          |
| Share of profit after income tax of associate | 18   | 26.1          | 19.5          |
| <b>Profit before income tax</b>               |      | 1,150.8       | 1,010.6       |
| Income tax expense                            | 9    | (403.6)       | (321.6)       |
| Profit before minority interest               |      | 747.2         | 689.0         |
| Minority interest                             |      | 36.0          | 27.2          |
| <b>Profit for the year</b>                    |      | 783.2         | 716.2         |
| Basic and diluted earnings per share (Shs)    | 10   | 11.0          | 10.0          |
| <b>Dividends:</b>                             |      | 2006<br>Shs m | 2005<br>Shs m |
| Interim dividend – paid in the year           | 24   | 142.6         | 71.3          |
| Proposed special dividend                     | 24   | 356.5         | -             |
| Proposed final dividend for the year          | 24   | 356.5         | 356.5         |
|                                               |      | 855.6         | 427.8         |

## Balance Sheet

|                                                     |      | Group         |               | Company       |               |
|-----------------------------------------------------|------|---------------|---------------|---------------|---------------|
|                                                     | Note | 2006<br>Shs m | 2005<br>Shs m | 2006<br>Shs m | 2005<br>Shs m |
| CAPITAL EMPLOYED                                    |      |               |               |               |               |
| Capital and reserves attributable to equity holders |      |               |               |               |               |
| Share capital                                       | 11   | 356.5         | 356.5         | 356.5         | 356.5         |
| Other reserves                                      | 12   | 4.7           | (9.3 )        | -             | 13.7          |
| Retained earnings                                   |      | 2,513.7       | 2,586.1       | 2,510.6       | 2,569.0       |
| Proposed dividends                                  | 24   | 713.0         | 356.5         | 713.0         | 356.5         |
|                                                     |      | 3,587.9       | 3,289.8       | 3,580.1       | 3,295.7       |
| Minority interest                                   |      | (91.2 )       | (59.1 )       | -             | -             |
| Total equity                                        |      | 3,496.7       | 3,230.7       | 3,580.1       | 3,295.7       |
| Non-current liabilities                             |      |               |               |               |               |
| Long term borrowings                                | 13   | 341.0         | -             | -             | -             |
| Deferred income tax liabilities                     | 14   | 17.9          | 37.1          | 28.4          | 47.7          |
|                                                     |      | 358.9         | 37.1          | 28.4          | 47.7          |
| Total equity and non current liabilities            |      | 3,855.6       | 3,267.8       | 3,608.5       | 3,343.4       |
| Non-current assets                                  |      |               |               |               |               |
| Property, plant and equipment                       | 15   | 1,634.7       | 1,623.0       | 1,254.4       | 1,276.7       |
| Intangible assets                                   | 16   | 54.6          | 44.2          | 30.6          | 20.6          |
| Prepaid operating lease rentals                     | 17   | 91.5          | 98.7          | 52.1          | 52.8          |
| Investment in associates                            | 18   | 306.4         | 285.1         | 94.6          | 94.6          |
| Investment in subsidiaries                          | 19   | -             | -             | 48.8          | 93.6          |
|                                                     |      | 2,087.2       | 2,051.0       | 1,480.5       | 1,538.3       |
| Current assets                                      |      |               |               |               |               |
| Inventories                                         | 20   | 560.6         | 426.6         | 499.3         | 385.8         |
| Receivables and prepayments                         | 21   | 963.1         | 862.8         | 1,074.1       | 1,287.5       |
| Cash and cash equivalents                           | 22   | 1,681.1       | 953.7         | 1,643.8       | 906.0         |
| Current income tax                                  |      | -             | 132.6         | -             | 113.8         |
|                                                     |      | 3,204.8       | 2,375.7       | 3,217.2       | 2,693.1       |
| Current liabilities                                 |      |               |               |               |               |
| Payables and accrued expenses                       | 23   | 1,372.1       | 1,158.9       | 1,036.9       | 888.0         |
| Borrowings                                          | 13   | 13.2          | -             | -             | -             |
| Current income tax                                  |      | 51.1          | -             | 52.3          | -             |
|                                                     |      | 1,436.4       | 1,158.9       | 1,089.2       | 888.0         |
| Net current assets                                  |      | 1,768.4       | 1,216.8       | 2,128.0       | 1,805.1       |
|                                                     |      | 3,855.6       | 3,267.8       | 3,608.5       | 3,343.4       |

The financials statements on pages 24 to 48 were approved for issue by the board of directors on 22 March 2007 and signed on its behalf by

## Group Statement of Changes in Equity

|                                                  |      | Attributable to equity holders of the company |                         |                            |                             | Minority interest | Total equity |
|--------------------------------------------------|------|-----------------------------------------------|-------------------------|----------------------------|-----------------------------|-------------------|--------------|
|                                                  | Note | Share capital<br>Shs m                        | Other reserves<br>Shs m | Retained earnings<br>Shs m | Proposed dividends<br>Shs m | Shs m             | Shs m        |
| <b>Year ended 31 December 2005</b>               |      |                                               |                         |                            |                             |                   |              |
| At start of year:                                |      | 267.5                                         | 10.3                    | 2,354.9                    | 267.5                       | (43.4)            | 2,856.8      |
| Transfer of excess depreciation                  | 12   | -                                             | (45.4)                  | 45.4                       | -                           | -                 | -            |
| Deferred tax on transfer                         | 12   | -                                             | 13.6                    | (13.6)                     | -                           | -                 | -            |
| Currency translation differences                 |      | -                                             | 12.2                    | -                          | -                           | 7.6               | 19.8         |
| Sale of minority interest to the group           |      | -                                             | -                       | -                          | -                           | 3.9               | 3.9          |
| Net gains/(losses) recognised directly in equity |      | -                                             | (19.6)                  | 31.8                       | -                           | 11.5              | 23.7         |
| Profit/(loss) for the year                       |      | -                                             | -                       | 716.2                      | -                           | (27.2)            | 689.0        |
| Total recognised in 2005                         |      | -                                             | (19.6)                  | 748.0                      | -                           | (15.7)            | 712.7        |
| Dividends:                                       |      |                                               |                         |                            |                             |                   |              |
| -bonus issue of shares                           | 11   | 89.0                                          | -                       | (89.0)                     | -                           | -                 | -            |
| -final for 2004 paid                             |      | -                                             | -                       | -                          | (267.5)                     | -                 | (267.5)      |
| -interim for 2005 paid                           | 24   | -                                             | -                       | (71.3)                     | -                           | -                 | (71.3)       |
| -proposed final for 2005                         | 24   | -                                             | -                       | (356.5)                    | 356.5                       | -                 | -            |
| At end of year                                   |      | 356.5                                         | (9.3)                   | 2,586.1                    | 356.5                       | (59.1)            | 3,230.7      |
| <b>Year ended 31 December 2006</b>               |      |                                               |                         |                            |                             |                   |              |
| At start of year                                 |      | 356.5                                         | (9.3)                   | 2,586.1                    | 356.5                       | (59.1)            | 3,230.7      |
| Currency translation differences                 |      | -                                             | 14.0                    | -                          | -                           | 3.9               | 17.9         |
| Net gains recognised directly in equity          |      | -                                             | 14.0                    | -                          | -                           | 3.9               | 17.9         |
| Profit/(loss) for the year                       |      | -                                             | -                       | 783.2                      | -                           | (36.0)            | 747.2        |
| Total recognised in 2006                         |      | -                                             | 14.0                    | 783.2                      | -                           | (32.1)            | 765.1        |
| Dividends:                                       |      |                                               |                         |                            |                             |                   |              |
| - final for 2005 paid                            |      | -                                             | -                       | -                          | (356.5)                     | -                 | (356.5)      |
| - interim for 2006 paid                          | 24   | -                                             | -                       | (142.6)                    | -                           | -                 | (142.6)      |
| - special for 2006                               | 24   | -                                             | -                       | (356.5)                    | 356.5                       | -                 | -            |
| - proposed final for 2006                        | 24   | -                                             | -                       | (356.5)                    | 356.5                       | -                 | -            |
| At end of year                                   |      | 356.5                                         | 4.7                     | 2,513.7                    | 713.0                       | (91.2)            | 3,496.7      |

## Company Statement of Changes in Equity

|                                                  | Note | Share capital<br>Shs m | Other reserve<br>Shs m | Retained earnings<br>Shs m | Proposed dividends<br>Shs m | Total equity<br>Shs m |
|--------------------------------------------------|------|------------------------|------------------------|----------------------------|-----------------------------|-----------------------|
| <b>Year ended 31 December 2005</b>               |      |                        |                        |                            |                             |                       |
| At start of year                                 |      | 267.5                  | 45.5                   | 2,307.1                    | 267.5                       | 2,887.6               |
| Transfer of excess depreciation                  | 12   | -                      | (45.4)                 | 45.4                       | -                           | -                     |
| Deferred tax on transfer                         | 12   | -                      | 13.6                   | (13.6)                     | -                           | -                     |
| Net gains/(losses) recognised directly in equity |      | -                      | (31.8 )                | 31.8                       | -                           | -                     |
| Profit for the year                              |      | -                      | -                      | 746.9                      | -                           | 746.9                 |
| Total recognised in 2005                         |      | -                      | (31.8)                 | 778.7                      | -                           | 746.9                 |
| Dividends                                        |      |                        |                        |                            |                             |                       |
| - bonus issue of shares                          | 11   | 89.0                   | -                      | (89.0)                     | -                           | -                     |
| - final for 2004 paid                            |      | -                      | -                      | -                          | (267.5)                     | (267.5)               |
| - interim for 2005 paid                          | 24   | -                      | -                      | (71.3)                     | -                           | (71.3)                |
| - proposed final for 2006                        | 24   | -                      | -                      | (356.5)                    | 356.5                       | -                     |
| At end of year                                   |      | 356.5                  | 13.7                   | 2,569.0                    | 356.5                       | 3,295.7               |
| <b>Year ended 31 December 2006</b>               |      |                        |                        |                            |                             |                       |
| At start of year                                 |      | 356.5                  | 13.7                   | 2,569.0                    | 356.5                       | 3,295.7               |
| Transfer of excess depreciation                  |      | -                      | (19.6)                 | 19.6                       | -                           | -                     |
| Deferred tax on transfer                         |      | -                      | 5.9                    | (5.9)                      | -                           | -                     |
| Net (losses)/gains recognised directly in equity |      | -                      | (13.7 )                | 13.7                       | -                           | -                     |
| Profit for the year                              |      | -                      | -                      | 783.5                      | -                           | 783.5                 |
| Total recognised in 2006                         |      | -                      | (13.7)                 | 797.2                      | -                           | 783.5                 |
| Dividends                                        |      |                        |                        |                            |                             |                       |
| - final for 2005 paid                            |      | -                      | -                      | -                          | (356.5)                     | (356.5)               |
| - interim for 2006 paid                          | 24   | -                      | -                      | (142.6)                    | -                           | (142.6)               |
| - special for 2006                               | 24   | -                      | -                      | (356.5)                    | 356.5                       | -                     |
| - proposed final for 2006                        | 24   | -                      | -                      | (356.5)                    | 356.5                       | -                     |
| At end of year                                   |      | 356.5                  | -                      | 2,510.6                    | 713.0                       | 3,580.1               |

## Group Cash Flow Statement

|                                                         | Note | 2006<br>Shs m | 2005<br>Shs m |
|---------------------------------------------------------|------|---------------|---------------|
| <b>Operating activities</b>                             |      |               |               |
| Cash generated from operations                          | 26   | 1,337.5       | 1,102.6       |
| Interest received                                       | 8    | 75.6          | 47.0          |
| Interest paid                                           | 8    | (16.5)        | (2.4)         |
| Tax paid                                                |      | (239.1)       | (399.1)       |
| Net cash from operating activities                      |      | 1,157.5       | 748.1         |
| <b>Investing activities</b>                             |      |               |               |
| Purchase of property, plant and equipment               | 15   | (346.8)       | (349.7)       |
| Purchase of intangible asset                            | 16   | (18.7)        | (11.5)        |
| Proceeds from the sale of property, plant and equipment |      | 24.7          | 7.4           |
| Acquisition of minority interest share                  |      | -             | (19.1)        |
| Dividends received                                      | 18   | 4.8           | 8.8           |
| Net cash used in investing activities                   |      | (336.0)       | (364.1)       |
| <b>Financing activities</b>                             |      |               |               |
| Net proceeds from borrowings                            |      | 354.2         | -             |
| Dividend paid                                           |      | (499.1)       | (338.8)       |
| Net cash used in financing activities                   |      | (144.9)       | (338.8)       |
| Increase in cash and cash equivalents                   |      | 676.6         | 45.2          |
| <b>Movement in cash and cash equivalents</b>            |      |               |               |
| At start of year                                        |      | 953.7         | 818.9         |
| Increase                                                |      | 676.6         | 45.2          |
| Translation of net investment in foreign subsidiaries   |      | 50.8          | 89.6          |
| At end of year                                          |      | 1,681.1       | 953.7         |

## Notes to the Accounts

### 1 General information

Nation Media Group Limited is incorporated in Kenya under the Companies Act as a public limited liability company, and is domiciled in Kenya. The address of its registered office is:

Nation Media Group Limited  
Nation Centre  
Kimathi Street  
P O Box 49010 00100  
Nairobi

The company's shares are listed on the Nairobi Stock Exchange.

### 2 Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

#### (a) Basis of preparation

The financial statements are prepared in accordance with and comply with International Financial Reporting Standards (IFRS). The financial statements are presented in the functional currency, Kenya Shillings (Shs), rounded to the nearest million, and prepared under the historical cost convention as modified by the revaluation of certain property, plant and equipment.

The preparation of financial statements, in conformity with IFRS, requires the use of certain accounting estimates. It also requires management to exercise its judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements are disclosed in Note 4.

#### (b) Consolidation

Subsidiary undertakings, which are those companies in which the Group, directly or indirectly, has an interest of more than one half of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and are no longer consolidated from the date of disposal. The purchase method of accounting is used to account for the acquisition of subsidiaries by the Group. The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the acquisition. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any minority interest. The excess of the cost of acquisition over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If the cost of acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the income statement.

All intercompany transactions, balances and unrealised surpluses and deficits on transactions between group companies have been eliminated. Where necessary, accounting policies for subsidiaries have been changed to ensure consistency with the policies adopted by the Group. Separate disclosure is made of minority interests.

#### (c) Investments in associates

Associates are all entities over which the Group has significant influence but not control, generally accompanying a shareholding of between 20% and 50% of the voting rights. Investments in associates are accounted for by the equity method of accounting and are initially recognised at cost. The Group's investment in associates includes goodwill (net of any accumulated impairment loss) identified on acquisition.

## Notes to the Accounts continued

### 2 Summary of significant accounting policies (continued)

The Group's share of its associates' post-acquisition profits or losses is recognised in the income statement, and its share of post-acquisition movements in reserves is recognised in reserves. The cumulative post-acquisition movements are adjusted against the carrying amount of the investment. When the Group's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the associate.

#### (d) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost. Buildings are subsequently shown at market value, based on periodic valuations by external independent valuers, less subsequent depreciation. All other property, plant and equipment is stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the profit and loss account during the financial period in which they are incurred.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the profit and loss account. Each year the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the profit and loss account) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Freehold land is not depreciated.

Depreciation on other assets is calculated on the straight line method to write off the cost of each asset, or the revalued amounts, to their residual values over their estimated useful life. The annual rates used for this purpose are as follows:

|                     |           |
|---------------------|-----------|
| Buildings           | 2.5%      |
| Plant and equipment | 2.5 – 50% |

Property, plant and equipment are periodically reviewed for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation reserve relating to that asset are transferred to retained earnings.

#### (e) Segment reporting

A business segment is a group of assets and operations engaged in providing products or services that are subject to risks and returns that are different from those of other business segments.

A geographical segment is engaged in providing products or services within a particular economic environment that are subject to risks and returns that are different from those of segments operating in other economic environments.

#### (f) Revenue recognition

Revenue represents the fair value of the consideration receivable for sales of goods and services, and is stated net of value-added tax (VAT), rebates and discounts and eliminating sales within the group.



## Notes to the Accounts continued

### 2 Summary of significant accounting policies (continued)

Revenue is recognised as follows:

(i) Sales of goods are recognised in the period in which the company delivers products to the customer, the customer has accepted the products and collectability of the related receivables is reasonably assured.

(ii) Sales of services are recognised in the period in which the services are rendered, by reference to completion of the specific transaction assessed on the basis of the actual service provided as a proportion of the total services to be provided.

(iii) Interest income is recognised on a time proportion basis using the effective interest method. Dividends are recognised as income in the period in which the right to receive payment is established.

#### (g) Inventories

Inventories are stated at the lower of cost and net realisable value. Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses. Goods in transit are stated at cost. Provision is made for obsolete, slow moving and defective inventories.

#### (h) Receivables

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. A provision for impairment of receivables is established when there is objective evidence that the company will not be able to collect all the amounts due according to the original terms of receivables. The amount of the provision is the difference between the carrying amount and the present value of expected cash flows, discounted at the effective interest rate. The amount of the provision is recognised in the profit and loss account.

#### (i) Leases

Leases of assets under which significant risks and benefits of ownership are effectively retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit and loss account on a straight-line basis over the period of the lease.

#### (j) Income tax

Income tax expense is the aggregate of the charge to the profit and loss account in respect of current income tax and deferred income tax.

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the relevant tax legislation.

Deferred income tax is provided in full, using the liability method, on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes.

However, if the deferred income tax arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss, it is not accounted for. Deferred income tax is determined using tax rates enacted or substantively enacted at the balance sheet date and are expected to apply when the related deferred income tax liability is settled. Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised. Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future.

## Notes to the Accounts continued

### 2 Summary of significant accounting policies (continued)

#### (k) Intangible assets

##### (i) Goodwill

Goodwill represents the excess of the cost of an acquisition over fair value of the Group's share of the net identifiable assets of the acquired subsidiary/associate at the date of acquisition. Goodwill on acquisition of subsidiaries is included in intangible assets. Goodwill on acquisition of associates is included in investment in associates. Goodwill is tested annually for impairment and carried at cost less accumulated impairment losses. Goodwill is allocated to cash-generating units for purposes of impairment testing. Each of those cash generating units represents the Group's investment in each country of operation by each reporting segment.

##### (ii) Computer software

Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. The costs are amortised over their estimated useful lives (three to five years). Costs associated with developing or maintaining computer software programmes are recognised as an expense incurred. Costs that are directly associated with the production of identifiable and unique software products controlled by the Group, and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. Direct costs include the software development employee costs and an appropriate portion of relevant overheads. Computer software development costs recognised as assets are amortised over their estimated useful lives (not exceeding three years).

#### (l) Employee benefits

##### (i) Retirement benefit obligations

The group operates a defined contribution retirement benefit scheme for its employees. A defined contribution scheme is one under which the group pays fixed contributions into a separate entity. The group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in current and prior periods. The assets of the scheme are held in a separate trustee administered fund, which is funded by contributions from both the company and employees.

The company and all its employees also contribute to the National Social Security Fund, which is a defined contribution scheme. The company's contribution to the defined contribution schemes are charged to the profit and loss account in the year to which they relate. The company has no further obligation once the contributions have been paid.

##### (ii) Other entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

#### (m) Functional currency and translation of foreign currencies

##### (i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Kenya Shillings, which is the group's functional and presentation currency.

##### (ii) Transactions and balances in foreign entities

Transactions in foreign currencies during the year are converted into Kenya shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting exchange differences are dealt with in the profit and loss account in the year in which they relate.

## Notes to the Accounts continued

### 2 Summary of significant accounting policies (continued)

#### (iii) Consolidation of group entities

The results and financial position of all the group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

(a) assets and liabilities for each balance sheet presented are translated at the closing rate at the date of that balance sheet;

(b) income and expenses for each profit and loss account are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income expenses are translated at the dates of the transactions); and

(c) all resulting exchange differences are recognised as a separate component of equity.

On consolidation, exchange differences arising from the translation of the net investment in foreign entities are taken to shareholders' equity. When a foreign operation is sold, such exchange differences are recognised in the profit and loss account as part of the gain or loss on sale. Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate.

#### (n) Impairment of non-financial assets

Assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment. Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units).

#### (o) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

#### (p) Comparatives

Where necessary, comparatives have been adjusted to conform with changes in presentation in the current year.

#### (q) Provisions

Provisions for legal claims are recognised when 1) the Group has a present legal or constructive obligation as a result of past events; 2) it is probable that an outflow of resources will be required to settle the obligation; and 3) the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. Any increase in the provision due to passage of time is recognised as interest expense.

## Notes to the Accounts *continued*

### 3 Financial risk management objectives and policies

The group's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise adverse effects on its financial performance within the options available in East Africa to hedge against such risks.

Risk management is carried out by the Finance function under policies approved by the Board of Directors. The Finance function identifies, evaluates and hedges against financial risks. The Board provides principles for overall risk management, as well as policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative financial instruments and investing excess liquidity.

#### (a) Market risk

The group makes significant purchases of raw materials in foreign currency, principally newsprint, inks and plates used in newspaper production, and TV programming used in broadcasting. This exposes the group to foreign exchange risk arising from various currency exposures, primarily with respect to the US dollar. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities and net investment in foreign operations. The group manages foreign exchange risk arising from future commercial transactions and recognised assets and liabilities by forward contracts, but has not designated any derivative instruments as hedging instruments.

#### (b) Credit Risk

The group has no significant concentrations of credit risk. It has policies in place to ensure that sales are made to customers with an appropriate credit history.

### 4 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances.

#### (a) Critical accounting estimates and assumptions

##### (i) Income taxes

The group is subject to income taxes in various jurisdictions. Significant judgment is required in determining the group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

##### (ii) Property, plant and equipment

Critical estimates are made by the directors in determining depreciation rates for property, plant and equipment. The rates are set out in Note 2 (d).

#### (b) Critical judgements in applying the entity's accounting policies

Management exercises significant judgement in making provisions for contingent liabilities.

## Notes to the Accounts continued

**5 Segmental reporting****(a) Primary reporting format – business**

At 31 December 2006, the group is organised within the region into two main business segments;

- (i) Newspapers and magazines; and
- (ii) Broadcasting

Other group operations mainly comprise courier and third party printing services. Neither of these constitute a separately reportable segment.

|                                                  | <b>Newspapers &amp; Magazines</b> |                       | <b>Broadcasting</b>   |                       | <b>Group</b>          |                       |
|--------------------------------------------------|-----------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
|                                                  | <b>2006<br/>Shs m</b>             | <b>2005<br/>Shs m</b> | <b>2006<br/>Shs m</b> | <b>2005<br/>Shs m</b> | <b>2006<br/>Shs m</b> | <b>2005<br/>Shs m</b> |
| Sales                                            | 5,706.2                           | 5,117.6               | 633.0                 | 479.5                 | 6,339.2               | 5,597.1               |
| Allocated costs                                  | (4,402.6)                         | (3,997.9)             | (524.9)               | (425.6)               | (4,927.5)             | (4,423.5)             |
| Segment results                                  | 1,303.6                           | 1,119.7               | 108.1                 | 53.9                  | 1,411.7               | 1,173.6               |
| Unallocated costs                                |                                   |                       |                       |                       | (346.1)               | (227.1)               |
| Operating profit                                 |                                   |                       |                       |                       | 1,065.6               | 946.5                 |
| Net finance income                               |                                   |                       |                       |                       | 59.1                  | 44.6                  |
| Share of results of associate                    |                                   |                       |                       |                       | 26.1                  | 19.5                  |
| Profit before income tax                         |                                   |                       |                       |                       | 1,150.8               | 1,010.6               |
| Income tax expense                               |                                   |                       |                       |                       | (403.6)               | (321.6)               |
| Minority interest                                |                                   |                       |                       |                       | 36.0                  | 27.2                  |
| Profit for the year attributable to shareholders |                                   |                       |                       |                       | 783.2                 | 716.2                 |

Other segment items included in the income statement are as follows:

|                                         | <b>Newspapers &amp; magazines</b> |                       | <b>Broadcasting</b>   |                       | <b>Group</b>          |                       |
|-----------------------------------------|-----------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
|                                         | <b>2006<br/>Shs m</b>             | <b>2005<br/>Shs m</b> | <b>2006<br/>Shs m</b> | <b>2005<br/>Shs m</b> | <b>2006<br/>Shs m</b> | <b>2005<br/>Shs m</b> |
| Depreciation                            | 231.1                             | 221.5                 | 68.9                  | 62.7                  | 300.0                 | 284.2                 |
| Amortisation                            | 9.4                               | 7.1                   | 0.2                   | 0.2                   | 9.6                   | 7.3                   |
| Provision for impairment of receivables | 125.3                             | 58.4                  | 20.0                  | 0.3                   | 145.3                 | 58.7                  |

Segment assets comprise primarily property, plant and equipment, intangible assets, inventories, receivables and operating cash. They exclude deferred income tax and investments. Segment liabilities comprise operating liabilities. They exclude tax and corporate borrowings. Capital expenditure comprises additions to property, plant and equipment and intangible assets.

## Notes to the Accounts continued

### 5 Segmental reporting (continued)

|                          | Newspapers & Magazines |               | Broadcasting  |               | Group         |               |
|--------------------------|------------------------|---------------|---------------|---------------|---------------|---------------|
|                          | 2006<br>Shs m          | 2005<br>Shs m | 2006<br>Shs m | 2005<br>Shs m | 2006<br>Shs m | 2005<br>Shs m |
| Segment assets           | 4,355.4                | 3,622.1       | 630.2         | 519.5         | 4,985.6       | 4,141.6       |
| Investment in associates |                        |               |               |               | 306.4         | 285.1         |
|                          |                        |               |               |               | 5,292.0       | 4,426.7       |
| Segment liabilities      | 1,354.8                | 1,114.6       | 81.6          | 44.3          | 1,436.4       | 1,158.9       |
| Capital expenditure      | 243.9                  | 305.4         | 121.6         | 55.8          | 365.5         | 361.2         |

### (b) Secondary reporting format – geographical segments

The directors consider the East African countries in which the group operates as one geographical segment because of similarities in the risks and returns in the three countries.

### 6 Operating profit

The following items have been charged/ (credited) in arriving at operating profit

|                                                                      | 2006<br>Shs m          | 2005<br>Shs m          |
|----------------------------------------------------------------------|------------------------|------------------------|
| Depreciation of property, plant and equipment (Note 15)              | 300.0                  | 284.2                  |
| Repairs and maintenance expenditure on property, plant and equipment | 44.1                   | 51.5                   |
| Amortisation of intangible assets (Note 16)                          | 8.3                    | 5.9                    |
| (Profit)/loss on disposal of property, plant and equipment           | (16.6)                 | 1.6                    |
| Operating lease rentals - office buildings                           | 72.5                   | 75.2                   |
| - leasehold land (Note 17)                                           | 1.3                    | 1.4                    |
| Trade receivables – provision for impairment                         | 145.3                  | 58.7                   |
| Employee benefits expense (Note 7)                                   | 1,853.1                | 1,581.7                |
| Inventories expensed                                                 | 1,344.6                | 1,255.8                |
| Auditors' remuneration : Group                                       | 7.5                    | 6.8                    |
| : Company                                                            | 4.8                    | 4.5                    |
| <b>7 Employee benefits expense</b>                                   |                        |                        |
| Salaries and wages                                                   | 1,753.8                | 1,490.2                |
| National Social Security Fund                                        | 27.2                   | 26.8                   |
| Leave pay provision                                                  | 5.4                    | 6.8                    |
| Retirement benefit costs – defined contribution scheme               | 66.7                   | 57.9                   |
|                                                                      | 1,853.1                | 1,581.7                |
| The number of persons employed by the group at the year end was:     | <b>2006<br/>Number</b> | <b>2005<br/>Number</b> |
| Full time                                                            | 1,128                  | 1,052                  |
| Part time                                                            | 258                    | 242                    |
|                                                                      | 1,386                  | 1,294                  |

## Notes to the Accounts continued

| <b>8 Net finance income</b> | <b>2006<br/>Shs m</b> | <b>2005<br/>Shs m</b> |
|-----------------------------|-----------------------|-----------------------|
| Interest income             | 75.6                  | 47.0                  |
| Interest expense            | (16.5)                | (2.4)                 |
|                             | 59.1                  | 44.6                  |

| <b>9 Income tax expense</b>   | <b>2006<br/>Shs m</b> | <b>2005<br/>Shs m</b> |
|-------------------------------|-----------------------|-----------------------|
| Current income tax            | 422.8                 | 295.1                 |
| Deferred income tax (Note 14) | (19.2)                | 26.5                  |
|                               | 403.6                 | 321.6                 |

The tax on the group's profit before income tax differs from the theoretical amount that would arise using the tax rate of the home country as follows:

|                                                         |         |         |
|---------------------------------------------------------|---------|---------|
| Profit before income tax                                | 1,150.8 | 1,010.6 |
| Tax calculated at the statutory income tax rates of 30% | 345.2   | 303.2   |
| Tax effect of:                                          |         |         |
| Income not subject to tax                               | (1.4)   | (2.8)   |
| Expenses not deductible for tax purposes                | 67.0    | 21.2    |
| Deferred tax asset not recognized                       | (7.2)   | -       |
| Income tax expense                                      | 403.6   | 321.6   |

Further information about deferred income tax is presented in Note 14

**10 Earnings per share**

Basic earnings per share is calculated by dividing the profit for the year attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

|                                                               | <b>2006</b> | <b>2005</b> |
|---------------------------------------------------------------|-------------|-------------|
| Net profit attributable to shareholders (Shs million)         | 783.2       | 716.2       |
| Weighted average number of ordinary shares in issue (million) | 71.3        | 71.3        |
| Basic earnings per share (Shs)                                | 11.0        | 10.0        |

There were no potentially dilutive ordinary shares outstanding as at 31 December 2006 or 2005. Diluted earnings per share is therefore the same as basic earnings per share.

## Notes to the Accounts continued

| 11 Share capital          | Number of<br>shares<br>(million) | Number of<br>shares<br>(million) | Ordinary<br>shares<br>Shs m | Ordinary<br>shares<br>Shs m |
|---------------------------|----------------------------------|----------------------------------|-----------------------------|-----------------------------|
|                           | 2006                             | 2005                             | 2006                        | 2005                        |
| Authorised                | 120                              | 120                              | 600                         | 600                         |
| Issued and fully paid     |                                  |                                  |                             |                             |
| Balance as at 1 January   | 71.3                             | 53.5                             | 356.5                       | 267.5                       |
| Bonus issue               | -                                | 17.8                             | -                           | 89.0                        |
| Balance as at 31 December | 71.3                             | 71.3                             | 356.5                       | 356.5                       |

## 12 Other reserves

The movement in other reserves is as follows:

|                                  | Revaluation<br>reserve on<br>land & buildings<br>Shs m | Currency<br>translation<br>Shs m | Total<br>Shs m |
|----------------------------------|--------------------------------------------------------|----------------------------------|----------------|
| <b>Group</b>                     |                                                        |                                  |                |
| As at 1 January 2005             | 31.8                                                   | (21.5)                           | 10.3           |
| Transfer of excess depreciation  | (45.4)                                                 | -                                | (45.4)         |
| Deferred tax on transfer         | 13.6                                                   | -                                | 13.6           |
| Currency translation differences | -                                                      | 12.2                             | 12.2           |
| Balance as at 31 December 2005   | -                                                      | (9.3)                            | (9.3)          |
| As at 1 January 2006             | -                                                      | (9.3)                            | (9.3)          |
| Currency translation differences | -                                                      | 14.0                             | 14.0           |
| Balance as at 31 December 2006   | -                                                      | 4.7                              | 4.7            |

### Company

The company's other reserves relate to revaluation surpluses, net of deferred income tax, arising from the revaluation of land and buildings as shown in the company's statement of changes in equity. Revaluation reserves are non-distributable.

## Notes to the Accounts continued

### 13 Borrowings

|                         | 2006<br>Shs m |
|-------------------------|---------------|
| Group                   |               |
| Current                 |               |
| Bank borrowings         | 13.2          |
| Non current             |               |
| Bank borrowings         | 341.0         |
| <b>Total borrowings</b> | <b>354.2</b>  |

The bank borrowings are secured by a 100% comprehensive corporate guarantee from Nation Media Group Limited.

The weighted average effective interest rates at the balance sheet date were as follows:

|           | 2006<br>Shs m | 2005<br>Shs m |
|-----------|---------------|---------------|
| Bank loan | 11.58%        | -             |

In the opinion of the directors, the carrying amounts of short-term borrowings approximate to their fair value. Fair values are based on discounted cashflows using a discount rate based upon the borrowing rate that directors expect should be available to the Group at the balance sheet date.

In the opinion of the directors, it is impracticable to assign fair values to the Group's long-term debt liabilities due to inability to forecast interest rate changes.

Maturity of non-current borrowings (excluding finance lease liabilities):

|                       | 2006<br>Shs m | 2005<br>Shs m |
|-----------------------|---------------|---------------|
| Between 1 and 2 years | 26.3          | -             |
| Between 2 and 5 years | 327.9         | -             |

### 14 Deferred income tax

|                                                         | Group         |               | Company       |               |
|---------------------------------------------------------|---------------|---------------|---------------|---------------|
|                                                         | 2006<br>Shs m | 2005<br>Shs m | 2006<br>Shs m | 2005<br>Shs m |
| At start of year                                        | 37.1          | 10.6          | 47.7          | 10.6          |
| Charge/(credit) to the profit and loss account (Note 9) | (12.0)        | 24.3          | (19.3)        | 34.9          |
| Under provision in prior years (Note 9)                 | (7.2)         | 2.2           | -             | 2.2           |
| <b>At end of year</b>                                   | <b>17.9</b>   | <b>37.1</b>   | <b>28.4</b>   | <b>47.7</b>   |

## Notes to the Accounts continued

### 14 Deferred income tax (continued)

Deferred income tax assets and liabilities are attributable to the following items:

|                                           | 1.1.06<br>Shs m | Charged<br>(credited) to<br>P & L<br>Shs m | 31.12.06<br>Shs m |
|-------------------------------------------|-----------------|--------------------------------------------|-------------------|
| <b>Group</b>                              |                 |                                            |                   |
| <b>Deferred income tax liabilities</b>    |                 |                                            |                   |
| Property, plant and equipment             | 124.6           | (9.2)                                      | 115.4             |
| <b>Deferred income tax assets</b>         |                 |                                            |                   |
| Provisions                                | (87.5)          | (2.8)                                      | (90.3)            |
|                                           | (87.5)          | (2.8)                                      | (90.3)            |
| Net deferred income tax liability/(asset) | 37.1            | (12.0)                                     | 25.1              |
| Deferred income tax asset not recognized  | -               | (7.2)                                      | (7.2)             |
| <b>Net deferred income tax liability</b>  | 37.1            | (19.2)                                     | 17.9              |
| <b>Company</b>                            |                 |                                            |                   |
| <b>Deferred income tax liabilities</b>    |                 |                                            |                   |
| Property, plant and equipment             | 101.4           | (7.6)                                      | 93.8              |
| <b>Deferred income tax assets</b>         |                 |                                            |                   |
| Provisions                                | (53.7)          | (11.7)                                     | (65.4)            |
| <b>Net deferred income tax liability</b>  | 47.7            | (19.3)                                     | 28.4              |

## Notes to the Accounts continued

### 15 Property, plant and equipment

| Group                              | Freehold<br>land<br>Shs m | Buildings<br>Shs m | Plant and<br>equipment<br>Shs m | Total<br>Shs m |
|------------------------------------|---------------------------|--------------------|---------------------------------|----------------|
| <b>As at 1 January 2005</b>        |                           |                    |                                 |                |
| Cost or valuation                  | 6.4                       | 348.8              | 2,960.0                         | 3,315.2        |
| Accumulated depreciation           | -                         | (49.1)             | (1,624.9)                       | (1,674.0)      |
| Net book value                     | 6.4                       | 299.7              | 1,335.1                         | 1,641.2        |
| <b>Year ended 31 December 2005</b> |                           |                    |                                 |                |
| Opening net book amount            | 6.4                       | 299.7              | 1,335.1                         | 1,641.2        |
| Transfer to intangible assets      | -                         | -                  | (15.6)                          | (15.6)         |
| Additions                          | -                         | 26.4               | 323.3                           | 349.7          |
| Disposals                          | -                         | -                  | (9.0)                           | (9.0)          |
| Depreciation charge                | -                         | (10.8)             | (273.4)                         | (284.2)        |
| Exchange differences               | -                         | (21.9)             | (37.2)                          | (59.1)         |
| Closing net book value             | 6.4                       | 293.4              | 1,323.2                         | 1,623.0        |
| <b>As at 31 December 2005</b>      |                           |                    |                                 |                |
| Cost or valuation                  | 6.4                       | 352.5              | 3,101.7                         | 3,460.6        |
| Accumulated depreciation           | -                         | (59.1)             | (1,778.5)                       | (1,837.6)      |
| Net book value                     | 6.4                       | 293.4              | 1,323.2                         | 1,623.0        |
| <b>Year ended 31 December 2006</b> |                           |                    |                                 |                |
| Opening net book value             | 6.4                       | 293.4              | 1,323.2                         | 1,623.0        |
| Additions                          | -                         | 3.4                | 343.4                           | 346.8          |
| Disposals                          | -                         | -                  | (8.1)                           | (8.1)          |
| Depreciation charge                | -                         | (6.1)              | (293.9)                         | (300.0)        |
| Currency translation differences   | -                         | (11.0)             | (16.0)                          | (27.0)         |
| Closing net book value             | 6.4                       | 279.7              | 1,348.6                         | 1,634.7        |
| <b>As at 31 December 2006</b>      |                           |                    |                                 |                |
| Cost or valuation                  | 6.4                       | 344.3              | 3,385.4                         | 3,736.1        |
| Accumulated depreciation           | -                         | (64.6)             | (2,036.8)                       | (2,101.4)      |
| Net book value                     | 6.4                       | 279.7              | 1,348.6                         | 1,634.7        |

## Notes to the Accounts continued

### 15 Property, plant and equipment (continued)

| Company                            | Freehold<br>land<br>Shs m | Buildings<br>Shs m | Plant and<br>equipment<br>Shs m | Total<br>Shs m |
|------------------------------------|---------------------------|--------------------|---------------------------------|----------------|
| <b>As at 1 January 2005</b>        |                           |                    |                                 |                |
| Cost or valuation                  | 6.4                       | 215.0              | 2,611.6                         | 2,833.0        |
| Accumulated depreciation           | -                         | (44.4)             | (1,527.4)                       | (1,571.8)      |
| Net book value                     | 6.4                       | 170.6              | 1,084.2                         | 1,261.2        |
| <b>Year ended 31 December 2005</b> |                           |                    |                                 |                |
| Opening net book amount            | 6.4                       | 170.6              | 1,084.2                         | 1,261.2        |
| Transfer to intangible assets      | -                         | -                  | (15.0)                          | (15.0)         |
| Additions                          | -                         | -                  | 269.6                           | 269.6          |
| Disposals                          | -                         | -                  | (8.9)                           | (8.9)          |
| Depreciation charge                | -                         | (10.9)             | (219.3)                         | (230.2)        |
| Closing net book value             | 6.4                       | 159.7              | 1,110.6                         | 1,276.7        |
| <b>As at 31 December 2005</b>      |                           |                    |                                 |                |
| Cost or valuation                  | 6.4                       | 209.3              | 2,756.1                         | 2,971.8        |
| Accumulated depreciation           | -                         | (49.6)             | (1,645.5)                       | (1,695.1)      |
| Net book value                     | 6.4                       | 159.7              | 1,110.6                         | 1,276.7        |
| <b>Year ended 31 December 2006</b> |                           |                    |                                 |                |
| Opening net book value             | 6.4                       | 159.7              | 1,110.6                         | 1,276.7        |
| Additions                          | -                         | -                  | 236.5                           | 236.5          |
| Disposals                          | -                         | -                  | (7.9)                           | (7.9)          |
| Depreciation charge                | -                         | (4.7)              | (246.2)                         | (250.9)        |
| Closing net book value             | 6.4                       | 155.0              | 1,093.0                         | 1,254.4        |
| <b>As at 31 December 2006</b>      |                           |                    |                                 |                |
| Cost or valuation                  | 6.4                       | 209.3              | 2,965.4                         | 3,181.1        |
| Accumulated depreciation           | -                         | (54.3)             | (1,872.4)                       | (1,926.7)      |
| Net book amount                    | 6.4                       | 155.0              | 1,093.0                         | 1,254.4        |

## Notes to the Accounts continued

**15 Property, plant and equipment (continued)**

The group's buildings on leasehold land were revalued at 31 December 2000 by independent professional valuers. The basis for the valuation was open market value. The book values of the properties were adjusted to the revalued amounts and the resulting surplus, net of deferred income tax, was credited to the revaluation reserve in shareholders' equity. The directors are of the opinion that the carrying value of the buildings approximates to their open market value at the year end.

If the buildings were stated on the historical cost basis, the amounts would be as follows:

|                          | Group         |               | Company       |               |
|--------------------------|---------------|---------------|---------------|---------------|
|                          | 2006<br>Shs m | 2005<br>Shs m | 2006<br>Shs m | 2005<br>Shs m |
| Cost                     | 314.1         | 310.7         | 165.6         | 165.6         |
| Accumulated depreciation | (28.6)        | (22.5)        | (30.2)        | (25.5)        |
| Net book amount          | 285.5         | 288.2         | 135.4         | 140.1         |

**16 Intangible assets**

|                                             | Goodwill<br>Shs m | Computer<br>software<br>Shs m | Total<br>Shs m |
|---------------------------------------------|-------------------|-------------------------------|----------------|
| <b>Group</b>                                |                   |                               |                |
| <b>Year ended 31 December 2005</b>          |                   |                               |                |
| Opening net book amount                     | -                 | -                             | -              |
| Transfer from property, plant and equipment | -                 | 15.6                          | 15.6           |
| Additions                                   | 23.0              | 11.5                          | 34.5           |
| Amortisation                                | -                 | (5.9)                         | (5.9)          |
| Closing net book value                      | 23.0              | 21.2                          | 44.2           |
| <b>As at 31 December 2005</b>               |                   |                               |                |
| Cost                                        | 23.0              | 91.6                          | 114.6          |
| Accumulated amortisation                    | -                 | (70.4)                        | (70.4)         |
| Net book value                              | 23.0              | 21.2                          | 44.2           |
| <b>Year ended 31 December 2006</b>          |                   |                               |                |
| Opening net book value                      | 23.0              | 21.2                          | 44.2           |
| Additions                                   | -                 | 18.7                          | 18.7           |
| Amortisation                                | -                 | (8.3)                         | (8.3)          |
| Closing net book value                      | 23.0              | 31.6                          | 54.6           |
| <b>As at 31 December 2006</b>               |                   |                               |                |
| Cost                                        | 23.0              | 110.3                         | 133.3          |
| Accumulated amortization                    | -                 | (78.7)                        | (78.7)         |
| Net book value                              | 23.0              | 31.6                          | 54.6           |

## Notes to the Accounts continued

### 16 Intangible assets (continued)

|                                             | 2006<br>Shs m | 2005<br>Shs m |
|---------------------------------------------|---------------|---------------|
| <b>Company</b>                              |               |               |
| At start of year                            | 20.6          | -             |
| Transfer from property, plant and equipment | -             | 15.0          |
| Additions                                   | 18.1          | 11.3          |
| Amortisation                                | (8.1)         | (5.7)         |
| At end of year                              | 30.6          | 20.6          |

The intangible assets in the company relate to computer software.

### 17 Prepaid operating lease rentals

|                                  | Group         |               | Company       |               |
|----------------------------------|---------------|---------------|---------------|---------------|
|                                  | 2006<br>Shs m | 2005<br>Shs m | 2006<br>Shs m | 2005<br>Shs m |
| At start of year                 | 98.7          | 110.8         | 52.8          | 53.0          |
| Amortisation for the year        | (1.3)         | (1.4)         | (0.7)         | (0.2)         |
| Currency translation differences | (5.9)         | (10.7)        | -             | -             |
| At end of year                   | 91.5          | 98.7          | 52.1          | 52.8          |

### 18 Investment in associates

|                                   | Group         |               |
|-----------------------------------|---------------|---------------|
|                                   | 2006<br>Shs m | 2005<br>Shs m |
| At start of year                  | 285.1         | 274.4         |
| Share of profit before income tax | 37.9          | 27.3          |
| Share of income tax expense       | (11.8)        | (7.8)         |
| Dividends received                | 26.1          | 19.5          |
|                                   | (4.8)         | (8.8)         |
|                                   | 306.4         | 285.1         |

## Notes to the Accounts continued

## 18 Investment in associates (continued)

## Company

Shs m

At 1 January 2006 and 31 December 2006

94.6

Investment in associates is carried in the group's balance sheet based on the group's share in the equity of the company and at cost in the company's balance sheet. The principal associates both of which are unlisted are:

|                                             | Country of<br>incorporation | % interest<br>held |
|---------------------------------------------|-----------------------------|--------------------|
| Property Development and Management Limited | Kenya                       | 20%                |
| Radio Uhuru Limited                         | Tanzania                    | 49%                |

There were no changes in the interest held in the associates during the year. Radio Uhuru Limited is non-trading and a full provision for impairment was made against the investment.

## 19 Investment in subsidiaries (at cost)

The Group's interest in its subsidiaries, all of which are unlisted and all of which have the same year end as the company, were as follows:

|                                         | Company<br>Country of<br>incorporation | Holding<br>% | 2006<br>Shs m | 2005<br>Shs m |
|-----------------------------------------|----------------------------------------|--------------|---------------|---------------|
| <b>Trading subsidiaries:</b>            |                                        |              |               |               |
| Nation Marketing & Publishing Limited   | Kenya                                  | 100.0        | 0.5           | 0.5           |
| Monitor Publications Limited            | Uganda                                 | 76.7         | 19.1          | 19.1          |
| Mwananchi Communications Limited        | Tanzania                               | 60.0         | 44.8          | 44.8          |
| Nation Holdings Tanzania Limited        | Tanzania                               | 100.0        | 7.7           | 7.7           |
| Nation Carriers Uganda Limited          | Uganda                                 | 100.0        | -             | -             |
| Africa Broadcasting Uganda Limited      | Uganda                                 | 100.0        | -             | -             |
| East African Magazines Limited          | Kenya                                  | 51.0         | -             | -             |
|                                         |                                        |              | 72.1          | 72.1          |
| <b>Non Trading subsidiaries:</b>        |                                        |              |               |               |
| East Africa Television Network Limited  | Kenya                                  | 90.0         | 17.0          | 17.0          |
| Nation Carriers Limited                 | Kenya                                  | 100.0        | 3.0           | 3.0           |
| Nation Infotech Limited                 | Kenya                                  | 100.0        | 1.5           | 1.5           |
| Africa Broadcasting Limited             | Kenya                                  | 100.0        | -             | -             |
| Nation Newspapers Limited               | Kenya                                  | 100.0        | -             | -             |
| Nation Printing and Publishing Limited  | Kenya                                  | 100.0        | -             | -             |
| Africa Broadcasting (Mauritius) Limited | Mauritius                              | 100.0        | -             | -             |
| Nation Carriers Tanzania Limited        | Tanzania                               | 100.0        | -             | -             |
| Africa Broadcasting Tanzania Limited    | Tanzania                               | 100.0        | -             | -             |
|                                         |                                        |              | 93.6          | 93.6          |
| Provision for impairment                |                                        |              | (44.8 )       | -             |
|                                         |                                        |              | 48.8          | 93.6          |

## Notes to the Accounts continued

### 20 Inventories

|                            | Group         |               | Company       |               |
|----------------------------|---------------|---------------|---------------|---------------|
|                            | 2006<br>Shs m | 2005<br>Shs m | 2006<br>Shs m | 2005<br>Shs m |
| Raw materials at cost      | 469.6         | 343.2         | 417.9         | 313.4         |
| Engineering spares at cost | 70.4          | 73.7          | 67.9          | 64.9          |
| Other stock at cost        | 20.6          | 9.7           | 13.5          | 7.5           |
|                            | 560.6         | 426.6         | 499.3         | 385.8         |

### 21 Receivables and prepayments

|                                            | Group         |               | Company       |               |
|--------------------------------------------|---------------|---------------|---------------|---------------|
|                                            | 2006<br>Shs m | 2005<br>Shs m | 2006<br>Shs m | 2005<br>Shs m |
| Trade receivables                          | 1,162.3       | 1,038.3       | 785.9         | 688.8         |
| Less: provision for impairment             | (466.6)       | (398.3)       | (275.3)       | (222.7)       |
|                                            | 695.7         | 640.0         | 510.6         | 466.1         |
| Amounts due from related parties (Note 28) | -             | -             | 351.5         | 618.4         |
| Other receivables and prepayments          | 267.4         | 222.8         | 212.0         | 203.0         |
|                                            | 963.1         | 862.8         | 1,074.1       | 1,287.5       |

### 22 Cash and cash equivalents

For the purposes of cashflow statements, cash and cash equivalents comprise cash in hand, term deposits held with banks and investments in money market instruments. The year end cash and cash equivalent comprise the following:

|                          | Group         |               | Company       |               |
|--------------------------|---------------|---------------|---------------|---------------|
|                          | 2006<br>Shs m | 2005<br>Shs m | 2006<br>Shs m | 2005<br>Shs m |
| Cash and bank balances   | 392.0         | 155.0         | 354.7         | 209.2         |
| Short term bank deposits | 1,289.1       | 798.7         | 1,289.1       | 696.8         |
|                          | 1,681.1       | 953.7         | 1,643.8       | 906.0         |

The weighted average effective interest rate on the bank deposits at the year-end was 7.6% (2005: 8.4%)

### 23 Payables and accrued expenses

|                                          | Group         |               | Company       |               |
|------------------------------------------|---------------|---------------|---------------|---------------|
|                                          | 2006<br>Shs m | 2005<br>Shs m | 2006<br>Shs m | 2005<br>Shs m |
| Trade payables                           | 333.6         | 323.0         | 239.1         | 254.1         |
| Amounts due to related parties (Note 28) | -             | -             | 12.8          | 7.7           |
| Accrued expenses                         | 934.1         | 603.3         | 768.1         | 589.1         |
| Other payables                           | 104.4         | 232.6         | 16.9          | 37.1          |
|                                          | 1,372.1       | 1,158.9       | 1,036.9       | 888.0         |

Accrued expenses include provisions subject to accounting estimates and assumptions as disclosed in Note 4.

## Notes to the Accounts continued

**24 Dividends**

At the next annual general meeting, a final dividend in respect of the year ended 31 December 2006 of Shs.5.00 per share amounting to Shs.356.5 million will be proposed. During the year, an interim dividend of Shs.2.00 per share, amounting to Shs.142.6 million was paid. A special dividend of Shs.5.00 per share amounting to Shs.356.5 million was paid in February 2007. The total dividend for the year is therefore Shs.12.00 per share (2005: Shs.6.00), amounting to Shs.855.6 million (2005: Shs.427.8 million).

The payment of dividends is subject to withholding tax at the rate of 5% for resident and 10% for non-resident tax payers.

**25 Commitments – Group****Capital expenditure**

Commitments for capital expenditure at the balance sheet date are as follows:

|                                                                                      | <b>2006<br/>Shs m</b> | <b>2005<br/>Shs m</b> |
|--------------------------------------------------------------------------------------|-----------------------|-----------------------|
| Contracted for at balance sheet date but not provided for                            | 143.6                 | 39.8                  |
| <b>Operating leases</b>                                                              |                       |                       |
| The future minimum lease payments under non-cancellable operating leases as follows: |                       |                       |
|                                                                                      | <b>2006<br/>Shs m</b> | <b>2005<br/>Shs m</b> |
| Not later than 1 year                                                                | 72.5                  | 79.7                  |
| Later than 1 year and not later than 5 years                                         | 397.5                 | 351.3                 |
|                                                                                      | 470.0                 | 431.0                 |
| <b>26 Cash generated from operations</b>                                             |                       |                       |
| Reconciliation of profit before tax to cash generated from operations                |                       |                       |
| Profit before income tax                                                             | 1,150.8               | 1,010.6               |
| Adjustments for:                                                                     |                       |                       |
| Depreciation of property, plant and equipment (Note 15)                              | 300.0                 | 284.2                 |
| Amortisation of intangible assets (Note 16)                                          | 8.3                   | 5.9                   |
| Amortisation of prepaid operating lease rentals (Note 17)                            | 1.3                   | 1.4                   |
| (Profit)/loss on sale of property, plant and equipment                               | (16.6)                | 1.6                   |
| Interest income (Note 8)                                                             | (75.6)                | (47.0)                |
| Interest expense (Note 8)                                                            | 16.5                  | 2.4                   |
| Share of result before tax of associate (Note 18)                                    | (26.1)                | (19.5)                |
| Changes in working capital:                                                          |                       |                       |
| - inventories                                                                        | (134.0)               | (18.1)                |
| - receivables and prepayments                                                        | (100.3)               | (95.9)                |
| - payables and accrued expenses                                                      | 213.2                 | (23.0)                |
| Cash generated from operations                                                       | 1,337.5               | 1,102.6               |

**27 Contingent liabilities**

The directors have after taking appropriate legal advice, made provisions for contingent liabilities where there is a possible loss to the group.

## Notes to the Accounts continued

### 28 Related Parties

There are a number of companies that are related to Nation Media Group through common shareholding or common directorships.

|                                                                             | 2006<br>Shs m | 2005<br>Shs m |
|-----------------------------------------------------------------------------|---------------|---------------|
| <b>(i) The following transactions were carried out with related parties</b> |               |               |
| Other related parties                                                       | 67.7          | 78.8          |

#### (ii) Outstanding balances from transactions with related parties

##### Amounts due from related parties

|                                         | Company       |               |
|-----------------------------------------|---------------|---------------|
|                                         | 2006<br>Shs m | 2005<br>Shs m |
| Nation Marketing and Publishing Limited | 12.9          | 27.6          |
| East African Magazines Limited          | 30.7          | 32.9          |
| Monitor Publications Limited            | -             | 179.7         |
| East African Television Network         | 7.8           | 7.8           |
| Mwananchi Communications Limited        | 18.4          | 233.6         |
| Nation Carriers Uganda Limited          | 6.3           | 5.7           |
| Nation Holdings Tanzania Limited        | 143.4         | 130.2         |
| Nation Infotech Limited                 | 0.9           | 0.9           |
| Africa Broadcasting Uganda Limited      | 131.1         | -             |
|                                         | 351.5         | 618.4         |

##### Amounts due to related parties

|                                  | 2006<br>Shs m | 2005<br>Shs m |
|----------------------------------|---------------|---------------|
| Monitor Publications Limited     | 5.1           | -             |
| Nation Holdings Tanzania Limited | 7.7           | 7.7           |
|                                  | 12.8          | 7.7           |

#### (iii) Loans to executive directors

|                                | Group         |               | Company       |               |
|--------------------------------|---------------|---------------|---------------|---------------|
|                                | 2006<br>Shs m | 2005<br>Shs m | 2006<br>Shs m | 2005<br>Shs m |
| At start of year               | 2.3           | 4.3           | 2.3           | 4.3           |
| Loans advanced during the year | 7.3           | 1.8           | 7.3           | 1.8           |
| Loans repaid during the year   | (2.5)         | (3.8)         | (2.5)         | (3.8)         |
| At end of year                 | 7.1           | 2.3           | 7.1           | 2.3           |

Loans to executive directors are on terms similar to those applicable to other employees and are included in other receivables.

#### (iv) Directors' remuneration

|                               | 2006<br>Shs m | 2005<br>Shs m |
|-------------------------------|---------------|---------------|
| Fees for services as director | 12.2          | 10.5          |
| Other emoluments              | 76.3          | 56.7          |
|                               | 88.5          | 67.2          |

## Five Year Financial Summary

|                                     | 2006<br>Shs m | 2005<br>Shs m | 2004<br>Shs m | 2003<br>Shs m | 2002<br>Shs m |
|-------------------------------------|---------------|---------------|---------------|---------------|---------------|
| <b>Results</b>                      |               |               |               |               |               |
| Turnover                            | 6,339.2       | 5,597.1       | 4,866.2       | 4,469.1       | 4,103.4       |
| Profit before tax                   | 1,150.8       | 1,010.6       | 894.7         | 872.6         | 635.2         |
| Profit attributable to shareholders | 783.2         | 716.2         | 641.4         | 602.8         | 403.8         |
| <b>Net assets</b>                   |               |               |               |               |               |
| Non-current assets                  | 2,087.2       | 2,051.0       | 2,026.4       | 1,691.2       | 1,516.3       |
| Net current assets                  | 1,768.4       | 1,216.8       | 841.0         | 1,136.1       | 875.6         |
| Non-current liabilities             | (358.9)       | (37.1)        | (10.6)        | (45.9)        | (60.3)        |
| Minority interests                  | 91.2          | 59.1          | 43.4          | 10.9          | (4.7)         |
| Shareholders' funds                 | 3,587.9       | 3,289.8       | 2,900.2       | 2,792.3       | 2,326.9       |
| <b>Profit before tax</b>            |               |               |               |               |               |
| as a percentage of turnover(%)      | 18.15         | 18.06         | 18.39         | 19.53         | 15.48         |
| Earnings per share (Shs)*           | 10.98         | 10.04         | 9.00          | 8.45          | 5.66          |
| Dividends per share (Shs)*          | 7.00          | 6.00          | 6.00          | 5.00          | 2.50          |
| Dividend cover (times)*             | 1.57          | 1.67          | 1.50          | 1.69          | 2.27          |

\*Adjusted for bonus issues and special dividend

## Taarifa Fupi Ya Kifedha Ya Miaka Mitano

|                                  |         |         |         |         |         |
|----------------------------------|---------|---------|---------|---------|---------|
| <b>Matokeo</b>                   |         |         |         |         |         |
| Jumla ya mapato                  | 6,339.2 | 5,597.1 | 4,866.2 | 4,469.1 | 4,103.4 |
| Faida kabla ya kodi              | 1,150.8 | 1,010.6 | 894.7   | 872.6   | 635.2   |
| Faida kwa wenyehisa              | 783.2   | 716.2   | 641.4   | 602.8   | 403.8   |
| <b>Mali halisi</b>               |         |         |         |         |         |
| Mali thabiti                     | 2,087.2 | 2,048.7 | 2,026.4 | 1,691.2 | 1,516.3 |
| Mali halisi za sasa              | 1,768.4 | 1,219.1 | 841.0   | 1,136.1 | 875.6   |
| Madeni ya muda mrefu             | (358.9) | (37.1)  | (10.6)  | (45.9)  | (60.3)  |
| Wenyehisa wachache               | 91.2    | 59.1    | 43.4    | 10.9    | (4.7)   |
| Malipo ya wenyehisa              | 3,587.9 | 3,289.8 | 2,900.2 | 2,792.3 | 2,326.9 |
| <b>Faida kabla ya kodi</b>       |         |         |         |         |         |
| Kama asilimia ya mapato          | 18.15   | 18.06   | 18.39   | 19.53   | 15.48   |
| Mapato kwa kila hisa (Shilingi)* | 10.98   | 10.04   | 9.00    | 8.45    | 5.66    |
| Migawo kwa kila hisa (Shilingi)* | 7.00    | 6.00    | 6.00    | 5.00    | 2.50    |
| Malipo ya hisa (mara)*           | 1.57    | 1.67    | 1.50    | 1.69    | 2.27    |

\*Badiliko kuhusu hisa za bonsai na mgawo maalum

## Principal shareholders and their respective shareholding at 31 December 2006

| No. | Name of shareholder                                | No. of shares held | %     |
|-----|----------------------------------------------------|--------------------|-------|
| 1.  | The Aga Khan Fund for Economic Development (AKFED) | 31,893,312         | 44.73 |
| 2.  | Mr. Amin Nanji Juma                                | 5,823,364          | 8.17  |
| 3.  | National Social Security Fund                      | 2,278,090          | 3.19  |
| 4.  | Nima Investments Limited                           | 1,306,716          | 1.83  |
| 5.  | Kenya Commercial Bank Nominees Limited A/C 744     | 735,115            | 1.03  |
| 6.  | Barclays (K) Nominees Limited A/C 1256             | 595,698            | 0.84  |
| 7.  | Kenya Commercial Bank Nominees Limited A/C 769G    | 559,047            | 0.78  |
| 8.  | Barclays (K) Nominees Limited A/C 9230             | 512,107            | 0.72  |
| 9.  | Insurance Company of East Africa Limited - Pooled  | 358,174            | 0.50  |
| 10. | Barclays (K) Nominees Limited A/C 9098AC           | 348,333            | 0.49  |

## Distribution of shareholding at 31 December 2006

### Shareholding

| (No. of shares)     | No. of shareholders | No. of shares held | % of shareholding |
|---------------------|---------------------|--------------------|-------------------|
| 1- 500              | 2,565               | 503,967            | 0.71              |
| 501 – 5,000         | 5,223               | 7,850,461          | 11.01             |
| 5,001 – 10,000      | 562                 | 4,005,841          | 5.62              |
| 10,001 – 100,000    | 391                 | 9,107,445          | 12.77             |
| 100,001 – 1,000,000 | 36                  | 8,536,064          | 11.97             |
| Over 1,000,000      | 4                   | 41,301,482         | 57.92             |
| <b>TOTAL</b>        | <b>8,781</b>        | <b>71,305,260</b>  | <b>100.00</b>     |

## Proxy Form

I/We \_\_\_\_\_  
\_\_\_\_\_ being a member/members of Nation Media  
Group Limited, hereby appoint \_\_\_\_\_  
of \_\_\_\_\_  
and failing him \_\_\_\_\_ and a  
failing him, the Chairman of the meeting as my/our proxy to vote for me/us and on my/our behalf at the  
Annual General Meeting of the company to be held on 31 May 2007 and at any adjournment thereof.  
As witness my hand this \_\_\_\_\_

Signature \_\_\_\_\_

### *Important notes:*

1. If you are unable to attend this meeting personally this form of proxy should be completed and returned to the Secretary, Nation Media Group Limited, P. O. Box 49010 – 00100 GPO Nairobi, to reach him not later than 48 hours before the time appointed for holding the meeting.
2. A person appointed to act as a proxy need not be a member of the company.
3. If the appointer is a corporation, this form of proxy must be under seal or under the hand of an officer or attorney duly authorised in writing.



## Fomu ya Uwakilishi

\_\_\_\_\_ kama mwanachama/

wanachama wa Nation Media Group Limited, nateua/tunateua \_\_\_\_\_

wa \_\_\_\_\_

na akikosa yeye \_\_\_\_\_

na akikosa yeye, mwenyekiti wa mkutano kama mwakilishi/wawakilishi wangu/wetu kunipigia kura/kutupigia kura nakwa niaba yangu/yetu kwenye mkutano wa kila mwaka wa kampuni utakaofanywa mnamo Mei 31, 2007, saa tisa alasiri na wakati wa ahirisho lo lote litakalotokea baadaye.

Kama shahidi siku hii \_\_\_\_\_

Sahihi \_\_\_\_\_

### Maelezo Muhimu:

1. Iwapo hutaweza kuhudhuria mkutano huu wewe mwenyewe binafsi, fomu hii ya kura ya uwakilishi (proxy) lazima ijazwe kwa ukamilifu na kurudishwa kwa Katibu, Nation Media Group Limited, S.L.P. 49010, 00100 GPO Nairobi, imfikie kabla ya masaa 48 kabla ya muda wa kufanya mkutano kuwadia.
2. Mtu anayeteuliwa kuwa mwakilishi si lazima awe mwanachama wa kampuni.
3. Ikiwa mteuaji ni shirika, fomu ya hii uwakilishi lazima ifungwe kwa lakiri (seal) au ipitie mikononi mwa afisa au wakili mwenye kibali cha maandishi.



## *Brand Belief*

*We believe that the development of an informed perspective enables communities to fulfill their true potential. Nation Media Group*

*Limited therefore creates multiple media opportunities to*

*inform, educate and entertain*  [AfricanShareholder.com](http://AfricanShareholder.com)



[www.nationmedia.com](http://www.nationmedia.com)